

BEYOND THE HORIZON

BEYOND THE HORIZON

As the sun rises over the horizon, it's the dawn of a new day.

At AgStar PLC, it's a time for new beginnings.

During the year we have undergone a rigorous transformation, adapting to the changing environment, driving service excellence, and enhancing our capabilities to take your Company to the forefront of the agriculture industry. We are driven by a purpose – to serve the people, and create wealth for all our stakeholders across the nation.

Strengthened by our progressiveness and passion to succeed, we are excited about the years to come. That's why here at AgStar, we are eagerly anticipating the infinite possibilities that lie beyond the horizon.





Registered Name: AgStar PLC
Company Registration No: PV1618 PB/PQ

A Public Quoted Company in Sri Lanka

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OUR VISION

**To be the preferred choice for agri inputs,
agri products and related services**

OUR MISSION

**To foster growth and prosperity in
agriculture by providing superior quality
products and services**

4. Operational Highlights

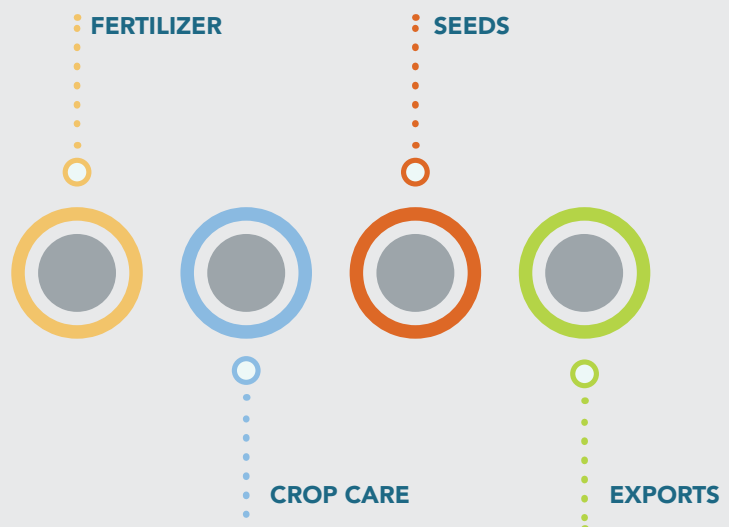
“AgStar is undoubtedly one of the most trusted and highly used fertilizers that ensure higher yield. AgStar brings to you a wide range of organic and chemical fertilizers in different quantities to be used in agriculture, horticulture, floriculture, home gardens and green houses.”

16 YEARS of existence

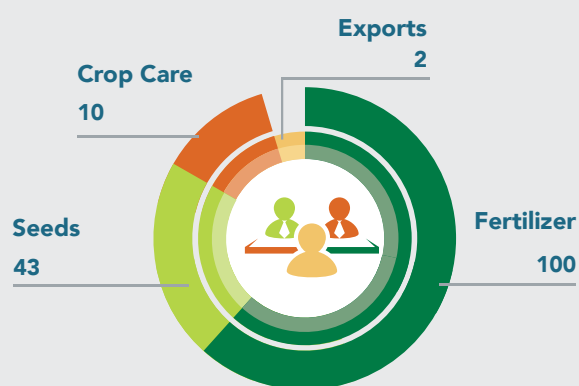


62,116MT
OF
FERTILIZER SALES

3.3BN CONSOLIDATED TURNOVER

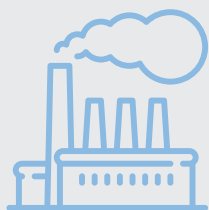


155 staff strength

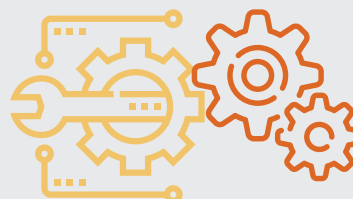


485 distributors

1.56BN PROPERTIES



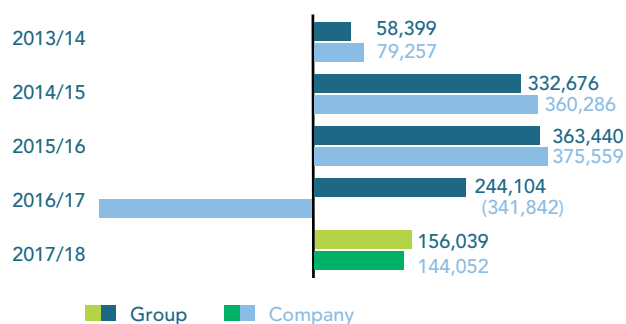
260.7MN MACHINERY



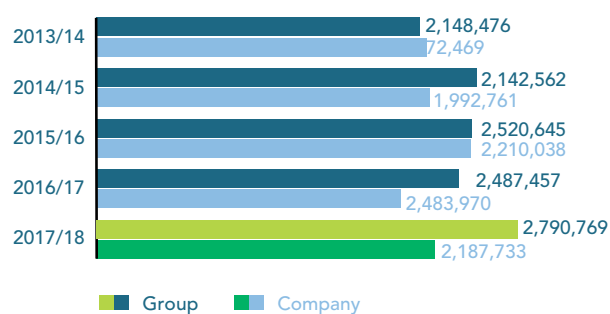
6. Financial Highlights

Year ended 31st March		2018	2017	Change
OPERATING RESULTS				
Group Revenue (Continuing Operations)	(Rs'000)	3,317,020	2,784,899	19%
Gross Profit (Continuing Operations)	(Rs'000)	532,091	515,969	3%
Net Finance Income/(Costs) (Continuing Operations)	(Rs'000)	(34,790)	(38,460)	-10%
Profit before Tax (Continuing Operations)	(Rs'000)	156,039	244,104	-36%
Profit for the Year (Continuing Operations)	(Rs'000)	90,308	167,387	-46%
Profit for the Year (Continuing & Discontinued Operations)	(Rs'000)	26,591	(22,466)	218%
FINANCIAL POSITION				
Stated Capital	(Rs'000)	1,204,094	1,204,094	0%
Non Controlling Interests	(Rs'000)	-	-	0%
Property, Plant & Equipment (Continuing Operations)	(Rs'000)	1,417,703	1,029,492	38%
Current Assets	(Rs'000)	3,483,081	3,140,494	11%
Total Assets	(Rs'000)	4,957,988	4,382,438	13%
Non Current Liabilities	(Rs'000)	35,299	66,436	-47%
Current Liabilities	(Rs'000)	2,131,921	1,913,610	11%
Total Equity	(Rs'000)	2,790,769	2,402,391	16%
FINANCIAL INDICATORS				
Earnings / (Deficit) Per Share	(Rs)	0.08	(0.07)	217%
Dividend Per Share	(Rs)	0.10	-	100%
Net Assets Per Share	(Rs)	8.59	7	16%
Return on Equity	(%)	0.95%	-0.94%	201%
Return on Total Assets	(%)	0.54%	-0.51%	205%
Gross Profit Ratio	(%)	16%	18.50%	-13%
Net Profit Ratio (Continuing Operations)	(%)	3%	6.00%	-55%
Current Ratio	(Times)	1.63	1.64	-0.4%
Liquidity Ratio	(Times)	0.82	1.16	-29%
Gearing	(%)	-	14.80%	-100%

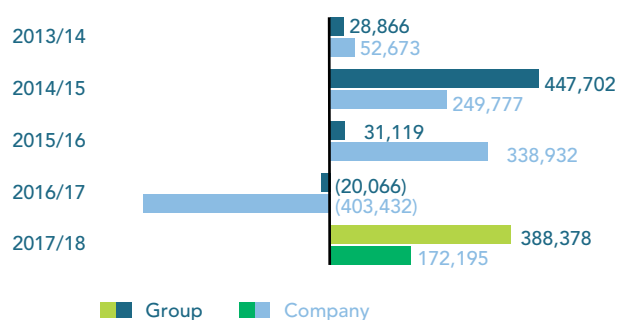
Profit Before Tax (Continuing Operations) (Rs. '000)



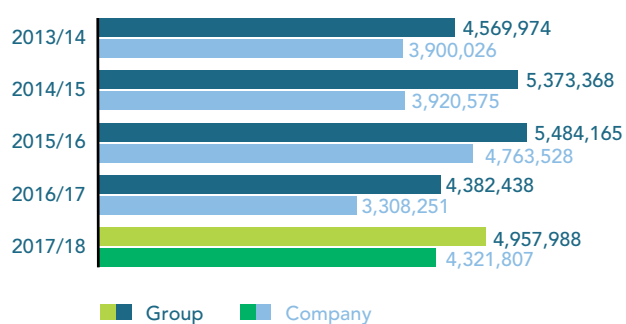
Net Assets (Rs. '000)



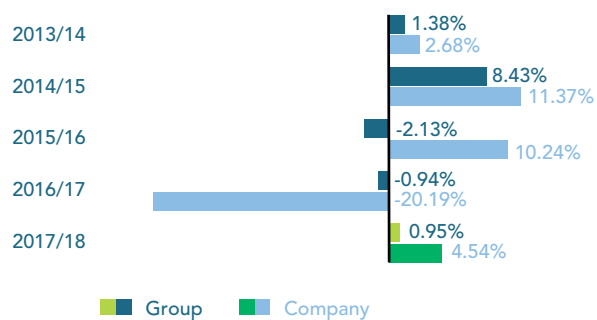
Total Comprehensive Income (Rs. '000)



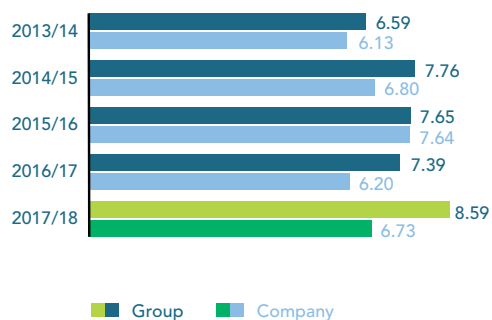
Total Assets (Rs. '000)



Return on Equity (%)



Net Assets per Share (Rs.)



8. Chairman's Message



ENHANCING OUR CAPABILITIES

I welcome you to the sixteenth Annual General Meeting of AgStar PLC and have pleasure in presenting to you the Annual Report and the Audited Financial Statement for the year ended 31st March 2018.

The year under review was difficult for the agri industry, with the continuation of adverse weather for the second year in succession.

Consequently a large drop in crop production impacted on the agricultural community and the performances of companies engaged in agri business.

This in turn created a fall in demand, a reduced market for agri inputs of fertilizers , seeds and agro chemicals.

Against this backdrop, your company had a satisfactory year in achieving a growth of 17% in sales volumes in our core fertilizer business. The strengthening of marketing activities with a greater focus on product quality and brand promotions contributed to our success.

FINANCIAL PERFORMANCE

Despite facing a challenging year, the Group has been able to improve its financial performance compared to the previous year.

The Group posted a pre tax profit of Rs.92.32 million and a post tax profit of Rs.26.59 million this year. The comparative performance in the previous year was a pre tax profit of Rs.44.16 million and a post tax loss of Rs.22.47 million, respectively.

The Board of Directors taking into consideration the improved profit performance recommends a first and final dividend of Rs.0.10 cents per share for the current financial year 2017/2018.

19%

GROUP TURNOVER GROWTH

92.32MN

GROUP PRE TAX PROFIT

“The net result is that the Group is now a leaner and more focused operation that is primed for leveraging opportunities as they emerge.”

MACRO-ECONOMIC CONDITIONS

Adverse weather conditions and their spillover effects continued to affect economic activity of Sri Lanka, which recorded GDP growth of 3.1% as compared to 4.5% in the preceding year. This was significantly below projections of the Sri Lankan authorities and international agencies.

Furthermore, agriculture related activities recorded negative growth for the second consecutive year. Market rates of interest continued to remain high due to tight credit control and market liquidity policies implemented by the Central Bank of Sri Lanka. The inflation rate fluctuated within a range of 3% to 7.9% during this period.

Addressing the weak performance of the economy and the need for pro-growth reforms remains a priority for the country. It is therefore essential that policy making remains rational with a long term focus on greater public good, whilst minimizing policy swings motivated by short term political gain as advocated by the Central Bank of Sri Lanka.

Accordingly, it is critical that the envisaged reforms are institutionalized to ensure their sustainability, enabling the country's unhindered progression under increasingly challenging global and domestic conditions.

FUTURE OUTLOOK

Despite the above challenges to the overall progress of AgStar PLC triggered by ad hoc policy changes, we took a strategic decision to make the most of the given situation by consolidating our product portfolio, enhancing system and process efficiencies, divesting under-performing businesses and exploring new product innovations. Our efforts to build an organic and “green” products portfolio will be sustained, by deep R&D capabilities, strong marketing expertise and expansion of the dealer networks.



The net result is that the Group is now a leaner and more focused operation that is primed for leveraging opportunities as they emerge. We have built up a resilient team that is capable of tackling future challenges in an agile manner.

ACKNOWLEDGMENTS

I wish to thank the Managing Director, the Executive Management Team and all members of the AgStar Group for their unstinted support, dedication and performance which enabled us to withstand a difficult year and deliver value to our shareholders.

I also wish to thank our customers, suppliers and business partners for their continued assistance.

Finally, I take this opportunity to thank the Board of Directors for their valuable contribution and guidance over the past year.

I look forward with optimism to a promising and successful year ahead as we continue to create greater value for our stake-holders and enable AgStar to fulfil its role as a vibrant agri enterprise.

N. G. R. Karunaratne
Chairman

1st June 2018

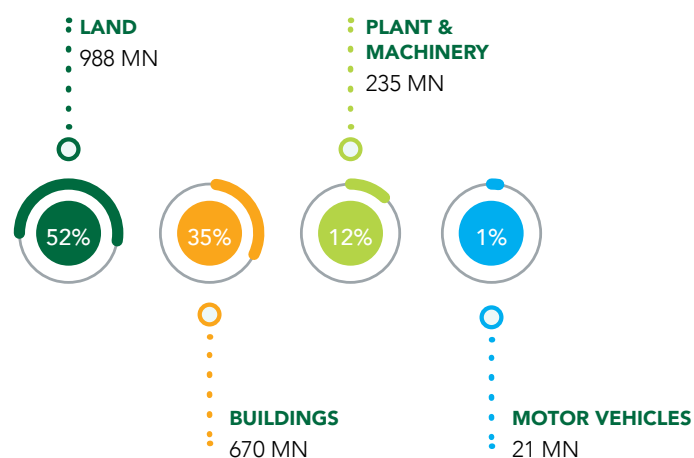
10. Managing Director's Message



EXPLORING WHAT LIES BEYOND THE HORIZON

The company experienced a turbulent 2017/18 financial year which was dogged by highly unfavourable market policies and challenging conditions posed by inclement weather alternating between drought and floods. Despite the insurmountable challenges during the year, Group level turnover grew by 19% while Profit after Tax stood at Rs. 27 Mn as against Rs. 22 Mn losses reported in the previous year. Coupled with a Rs. 363 Mn revaluation gain of the property held by the group, we ended the year with a comprehensive income of Rs. 388 Mn. The Group's litany of woes persisted in the absence of long-term conducive market policies that truly support the growth of agriculture and agri related industries in the country.

Asset composition



FERTILIZERS

The favourable policy conditions created in 2015 had witnessed an expansion in the fertilizer segment by as much as 70%, however, since then, due to wavering and populist fertilizer policies, the industry has contracted by 0.8% during the year. Our fertilizer volumes grew by 17% while turnover also grew by 18%. Traditionally, the fertilizer segment has been a major contributor to group profitability, but on this occasion, profitability of the segment was

“**Going forward, we remain hopeful of better prospects, and we expect the Group as a whole to fare better.**”

restricted. Even as the rupee depreciated against the dollar during the year, fertilizer import prices increased, but the company was unable to increase the final selling price due to the ceiling price introduced by the government, thereby, being forced to absorb the cost increase.

Early in the year, the government announced a ceiling on the selling prices for urea, MOP and TSP, which are crucial agri inputs for farmers. As a result, we had to, on occasion, sell our products well below landed cost. In response, the industry as a whole, reduced import volumes as other players including us were not prepared to bear the loss that would ensue.

Thereafter, in January 2018, in the run up to the election in February, the government announced a fertilizer subsidy for farmers, which resulted in a chunk of our buyers, who are tea and rubber farmers, opting to wait for the subsidized fertilizer from the government. This resulted in a decline in sales of our fertilizers. As a result, the fourth quarter of the year under review proved to be the worst when it comes to company performance due to the fertilizer uptake being low.



Not long after, the government announced that the private sector can only supply fertilizer to the non paddy sector and has put a ceiling of 375,000 MT imports per month. This limitation has necessitated that a quota system come into play and naturally quota restricts growth. Since the interest component is borne by the company, if the government delays the subsidy payment to us, the bulk of our margins will be eroded by way of interest on outstanding subsidy. We are hopeful the government will ensure timely payments for the long-term sustainability of the industry. Unfortunately, the regulator has held on to the given fixed sales price despite fluctuations in the world market prices, currency exchange and tax changes. The lack of a flexible pricing resulted in having to frequently sell below the landed cost price and incurring losses on sale. We are hopeful the regulator will introduce a fair pricing mechanism for the benefit of the state and the industry in future.

CROPCARE

This segment consists of Agro Chemicals and Value Added Fertilizers marketed by the company. Yet again, regulatory issues dogged profitability in the sector, due to the government discontinuing and restricting certain product profiles which were in our portfolio. Despite being proactive and bringing in new products to pre-empt this move by the government, the registration process for the new products took considerable period of time, thereby restricting growth for the cropcare segment, which dragged the turnover down by as much as 14%. However, we remained optimistic about the prospects for this segment and by the end of the year, adding 13 new agro chemical products which we expect will accrue benefits only in the upcoming financial year.

12. Managing Director's Message

GRAINS

AgStar Grains Pvt Ltd

Set up as a BOI company for rice milling, this venture suffered due to government policy changes. Since inception, the company suffered massive losses due to which the Board decided to suspend operations in the preceding year. However, it was only in July 2017 that we managed to clear stocks and shut down operations as a result of which some losses were incurred during the year. The company's assets have been retained by us. We are hopeful that after a couple of productive harvests, we might be able find a buyer for the facilities. Due to the limited time the company operated during the year under review, loss was reduced by 66% from the previous year. I am pleased to report that the staff from this operation has been duly absorbed by other group companies.

MAHAWELI AGRO TRADING PVT LTD

We changed the focus of the company from milling to agri input trading and started selling fertilizer under the Mahaweli Fertilizer brand. Meanwhile, the milling location and assets of this company have been put up for sale. For now, we are focused on building the Mahaweli brand name in the market while reducing overheads of the company and generating profitability into the future through this trading operation. The company has grown from a trading loss in previous years to a trading profit due to this change. We are hopeful of making profits into the future. Unfortunately the future of the company depends on the quota Mahaweli Agro Trading will be granted keeping in mind it is a new company.

SEEDS

Prith Seeds

The seed company was acquired by AgStar three years ago and was making steady progress despite inclement weather conditions which hampered cultivation. Unfortunately, this year the company had to face a whole new challenge. During 2017/18, the company's turnover dropped by a steep 45% due to violation in agreements by the company's previous owner who commenced marketing a similarly packaged product this year. Due to the confusion over the original and the copycat product amongst customers in the market, sales of our product declined during the year. On realizing this serious infringement, we filed legal action, claiming Rs. 80 Mn compensation for loss of sales due to a similarly branded product. In parallel we filed action in the commercial high court, bringing an injunction to stop him selling under the same label. As of March 2018 the violator is barred from using the same branding,



We are improving internal efficiencies and reducing overheads, while introducing new products.



packaging and similar product labels. We have apprised the dealers and suppliers about this violation. The legal process took most part of the year and during this period the duplicate products were being sold at a cheaper price than our products. This resulted in a decline in sales.

AGSTAR SEEDS

This company recorded a flat turnover but during the year operational efficiencies were improved, as a result of which the previous overheads of Rs. 32 Mn came down to Rs. 26 Mn. The volume of stocks written off in the past, were minimized to the greatest extent. A number of products have been identified and are currently under trial and will be introduced soon. This year, we acquired a new maize variety - BIS1222 - from Indonesia, which has already been commercialized.

PROPERTY BUSINESS

The company owned land in Ekala and Athurugiriya, with the latter being disposed off during the year for a sum of Rs. 168 Mn. Meanwhile, the Ekala land and building revalued every year and due to this fair valuation, coupled with the gains from the sale of the Athurugiriya land, the company made a substantial profit during the year.

EXPORTS

During the period under review, the turnover of the export company improved marginally by 9%. We feel we have been unable to achieve our potential in exports, as a result, the company is also



focusing on the local market. We are now selling sunflower oil and sugar sachets under the K-Choice brand at Keells supermarkets. We will be adding a vegetable oil under the K-Choice brand. Cargills will market our AgStar sugar sachets in the months ahead and we have already started retail selling of vegetable oil to bulk buyers.

The company was set up to export cinnamon but lack of backward integration led us to change tack to value added organic certified products. We have invested time and effort in building up a portfolio of products with globally accepted certifications for export to Europe and USA. However, the challenge remains to break into

the market and gain access to the big buyers. The receipt of GSP+ facilities by Sri Lanka should provide a greater boost to enhance our export trade to the European markets and the USA going ahead.

FUTURE OUTLOOK

The agri sector in which we operate needs a new long-term vision by the government and policies such as subsidies and quota system will limit growth potential in the sector. The practice of offering government subsidy is harming the industry and reducing innovation.

While the company is geared to introduce modern technology to the market, existing subsidies stifle new innovation. In waiting for the conditions to improve, we are improving internal efficiencies and reducing overheads, while introducing new products. Nevertheless, the company will focus on improving its out-grower network and continue to sustain relationships with suppliers, customers and other stakeholders. Going forward, we remain hopeful of better prospects. Now that loss-making companies, which were dragging group profitability down, have been restructured, we expect the group as a whole to fare better.

APPRECIATION

I wish to express my gratitude to the Chairman and Board of Directors for their continued guidance. The staff at AgStar has proven its mettle in seizing opportunities for growth where possible in a difficult operating climate. Our shareholders deserve our thanks for placing their confidence in the company's future prospects as we look forward to a new horizon with renewed optimism.

A. P. Weerasekera
Managing Director

1st June 2018

14. Board of Directors





7.



8.



9.

1. **MR. N G R KARUNARATNE**

Chairman

2. **MR. A P WEERASEKERA**

Managing Director

3. **MR. D N N LOKUGE**

*Deputy Chairman
Non- Executive Director*

4. **MR. ISHARA NANAYAKKARA**

*(Resigned from 8th March 2018)
Non- Executive Director*

5. **MR. W A P PERERA**

Non Executive Director

6. **MR. D S K AMARASEKERA**

Non Executive Director

7. **MR. H P J DE SILVA**

Independent & Non Executive Director

8. **MR. A G WEERASINGHE**

Independent & Non Executive Director

9. **MRS. S N WICKRAMASINGHE**

Independent & Non Executive Director

16. Board of Directors

1. MR. N. G. R. KARUNARATNE

Chairman

Mr. Rohan Karunaratne is a Fellow of the Institute of Chartered Accountants of Sri Lanka and is the founder Chairman/CEO of AgStar PLC. He has previously served on the Boards of Ceylon Tobacco Company, CIC Holdings PLC and CIC Agri Business. Mr Karunaratne has a wealth of experience counting over 40 years of managing agri business ventures.

As the founder CEO of CIC Agri Business, Mr. Karunaratne successfully spearheaded the setting up and development of new agricultural ventures in fertilizer, seed, planting material, biotechnology, agro consultancy and agri technology. He was also instrumental in developing public/private partnerships in the agricultural sector of Sri Lanka by transforming the management of large Government farms and converting ADB funded perennial crop development projects to viable business ventures. Mr. Karunaratne has provided the vision and leadership to introduce pioneering new technologies and products into the agricultural sector, and has contributed significantly to its development in Sri Lanka.

During his tenure at Ceylon Tobacco Company, Mr. Karunaratne functioned as the Head of Tobacco Business. He thereafter functioned as the Managing Director of CTC Services, with responsibility for the management of diversified businesses.

2. MR. A. P. WEERASEKERA

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants, United Kingdom and has over 25 years of industry experience having started his career in 1988. He has been a founder Director of AgStar PLC, initially functioning as Head of Finance and thereafter as the Chief Operating Officer. He has contributed significantly to the Company becoming a viable business entity.

Mr. Weerasekera previously was at CIC Agri business having joined the company in 1993. He was Finance Manager of CIC and gathered a wide experience in the management of agro business related activities. Mr. Weerasekera is also the Managing Director of AgStar group subsidiaries and Director of Smart Travel International (Pvt) Ltd.

3. MR. D. N. N. LOKUGE

Deputy Chairman

Mr. Nimal Lokuge is a founder Director of AgStar PLC and functions as the Deputy Chairman of the Company. He was also a founder Director of Sierra Construction Pvt Ltd with 30 years of experience in the construction industry. He is a Director of a number of Sierra Group Companies.

4. MR. ISHARA NANAYAKKARA

(Resigned from 8th March 2018)

Non- Executive Director

Mr. Ishara Nanayakkara is a prominent entrepreneur serving on the Boards of many corporates and conglomerates in the region. He initially ventured into the arena of financial services with a strategic investment in Lanka ORIX Leasing Company PLC and was appointed to the Board in 2002. Today, he is the Deputy Chairman of LOLC and the Executive Deputy Chairman of LOLC Finance PLC, holding directorships in many of its subsidiaries and associate companies.

Backed by over a decade of professional experience in the industry, Mr. Nanayakkara holds the role of Chairman of Commercial Leasing & Finance PLC, one of Sri Lanka's leading financial service providers for over 28 years, as well as LOLC Life Assurance Limited. He is also Deputy Chairman of Seylan Bank PLC, a premier commercial bank in the country. His vision to cater to the entire value chain of the finance sector manifested in the development of Micro Finance, Islamic Finance, factoring through LOLC Factors, LOLC Life & General Insurance Companies and stock broking through LOLC Securities Ltd.

Leveraging LOLC Group's expertise in the SME sector, the expansion into the Micro Sector was spearheaded by Mr. Nanayakkara, who is the Chairman of their Micro Credit Companies: LOLC Micro Credit Company Ltd, the only private sector microfinance institution in the country with foreign equity, and BRAC Lanka Finance

PLC. He also holds a directorship at PRASAC, the largest microfinance Company in Cambodia. Mr. Nanayakkara's interest in microfinance lead to the inauguration of LOLC Myanmar Micro Finance Company Ltd, a green field investment in Myanmar in which he was the founding Chairman, and currently serves as a Director. His proficiency in micro finance in the region is further demonstrated by his involvement at strategic level in LOLC Cambodia Ltd (Previously known as Thaneakea Phum Ltd); the 5th largest microfinance company in Cambodia. He was also recently appointed as a Director in LOLC International Private Limited & LOLC Private Limited.

Mr. Nanayakkara's motivation to expand into various growth peripheries is further illustrated through his role as the Executive Chairman of Brown & Company PLC & Browns Investments PLC. Browns Group is a renowned conglomerate with leading market position in trade, leisure, power generation, healthcare, manufacturing, consumer appliances and agriculture equipment. Through strategic investments, he is committed to catalysing development in the growth sectors of the Sri Lankan economy. Mr. Nanayakkara's involvement in the Boards of Associated Battery Manufacturers (Cey) Ltd and Sierra Constructions Ltd, reflects this business philosophy.

Endorsing his entrepreneurial spirit, Mr. Ishara Nanayakkara received the prestigious 'Young Entrepreneur of the Year' Award at the Asia Pacific Entrepreneurship Awards (APEA) in 2012. He holds a diploma in Business Accounting from Australia.

5. W. A. P. PERERA

Non-Executive Director

Mr. W. A. P. Perera is a founder Director of AgStar Fertilizers PLC and serves as the Chairman of Sierra Cables PLC and a founder Director of Sierra Holdings (Pvt) Limited and Sierra Construction (Pvt) Limited. He has over 35 years experience in the Engineering and Construction industry.

6. MR. D. S. K. AMARASEKERA

Non-Executive Director

Mr. Kamantha Amarasekera is an eminent tax consultant and the Senior Tax and Legal Partner of Amarasekera & Company – a leading tax consultancy firm in the country. He is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney at- Law of the Supreme Court of Sri Lanka. He graduated in Business Administration from the University of Sri Jayawardenapura.

7. MR. H. P. JANAKA DE SILVA

Independent and Non-Executive Director

Mr. Janaka de Silva is a holder of B.Sc. (Ceylon) and a MBA (Sri Jayawardenapura) Degree. He is a Fellow of the Institute of Chartered Accountants and the Institute of Bankers of Sri Lanka and counts over 40 years' experience in Banking and Finance.

Mr. de Silva served as a Consultant to the National Development Bank during the period of August 2003 to December 2007 and advised the bank on the integration of financial and accounting systems on the merger of NDB Bank with NDB. He joined Union Bank of Colombo Ltd at the pre- operational stage of the bank as General Manager/Chief Operations Officer and was appointed as the Managing Director/CEO in May 2002. During the period from April 1992 to April 1995 Mr. de Silva served as the Director-Operations of American Express Bank, Colombo and was responsible for all operational activities and functioned as the Quality Coordinator of the Colombo Office. In September 1976 Mr. de Silva joined Bank of Ceylon as Assistant General Manager/Controller and was elevated to the position of Corporate Adviser in 1979. In February 1987 Mr. de Silva joined Sampath Bank as the founder General Manager/CEO.

18. Board of Directors

8. MR. A. G. WEERASINGHE

Independent and Non-Executive Director

Mr. Weerasinghe is an experienced senior banker who joined the AgStar PLC Board in the year 2011. Presently he serves as the Chairman of Lanka Century Investments PLC, Taprobane Securities (Pvt) Ltd, Taprobane Investments (Pvt) Ltd, Lexinton Holdings (Pvt) Ltd, Taprobane Wealth Plus (Pvt) Ltd, and Heron Agro Products (Pvt) Ltd and Lexinton Financial Services (Pvt) Ltd.

Mr. Weerasinghe holds a B.A. in Economics from the University of Ceylon, Peradeniya. Mr. Weerasinghe served as an Assistant Lecturer in Economics, University of Ceylon, Peradeniya. He was also a former President of Sri Lanka FOREX Association and a member of the Sri Lanka Cricket Board. He is an Associate and a Fellow member of the Institute of Bankers, Sri Lanka.

Mr. Weerasinghe was the former Deputy General Manager, Corporate Banking at Bank of Ceylon. He has served as Country Manager, Bank of Ceylon, London and Deputy General Manager, International at Seylan Bank. He was a Director and was subsequently appointed as the Chairman of Pan Asia Banking Corporation PLC in March 2008, and continued his service till March, 2012.

At present he serves the Boards of many renowned companies in Sri Lanka, namely, Ceylon Leather Products PLC, South Asia Textile Industries Lanka (Pvt) Ltd, and Colombo City Holdings PLC.

Mr. Weerasinghe joined Bank of Ceylon in 1967 and was appointed the first Manager of Bank of Ceylon agricultural service centre branch in 1972 one of 300 branches opened throughout the Island to serve small farmers. He has extensive experience in supervised lending and collection in the above sector.

9. MRS. S. N. WICKRAMASINGHE

Independent and Non-Executive Director

Mrs. Siromi Wickramasinghe an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K. is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director -Sri Lanka Banks' Association (Guarantee) Ltd.

She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Pvt.) Ltd an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC, and Head of the Credit Counselling Centre.

10. MR. DANESH ABEYRATHNE

Alternative Director to Mr. Ishara Nanayakkara

Mr. Abeyrathne holds a Bachelor of Science (Engineering) (Hons), Associate Member of the Chartered Institute of Management Accountants (UK), Associate Member of the Chartered Institute of Marketing (UK), Associate Member of the Chartered Global Management Accountants (USA), Associate Member of the Institute of Engineers (SL).

Mr. Abeyrathne is the present Director/ Chief Operating Officer of the Gal-Oya Plantations (Pvt) Ltd. and a Director of Gal-Oya Holdings (Pvt) Ltd. Also he serves as a member of the management team of the group plantation companies.

He has 10 years of experience in managerial level in several leading companies including multinationals. He has worked for international projects when he was working for multinationals.

11. MRS. SUNJEEVANI KOTAKADENIYA -*Alternative Director to Mr. K. Amarasekera*

Mrs. Kotakadeniya is the Chief Financial Officer of LOLC Group and counts thirty years of experience in financial management, general management, treasury management and corporate planning in multiple industries. Her exposure to financial services spans across finance, insurance, leasing, factoring fund management, unit trusts and stock broking companies. Her non-financial services experience covers the sectors of leisure, agriculture and plantations, trading, construction and renewable energy. She has been involved in several strategic mergers and acquisitions, business transformation, new business set up and has been a proponent of change management steering change management initiatives.

She is a Director of several companies in the LOLC Group including Browns Hotels and Resorts Ltd. and its subsidiaries, Browns Capital PLC and its subsidiaries and LOLC Motors Ltd.

She was a Member of CIMA Sri Lanka Board 2012-2015 and a Member of Sri Lanka Accounting Standards Committee, and a Member of the Board of National Council for Child and Youth Welfare.

20. Executive Management

1. MR. DAYA JAYASEKARA

Director – Technical

2. MR. ATHULA GUNARATHNE

Director – Sales and Marketing

3. MRS. UMA SHANMUGANATHAN

General Manager - Accounts & Admin

4. MR. ARUNA KUMARASINGHE

SBU Head - AgStar Seeds and Prith Seeds

5. MR. LAKMAL DASANAYAKE

General Manager - Mahaweli Fertilizer

6. MR. VIPULA WAIDYARATNE

General Manager - Grains Business

7. MR. DHANUSHKA DE ZOYSA

*Assistant General Manager –
Corporate Sales and Exports*

8. MR. SAMAN RAJAPAKSHE

*Assistant General Manager –
Materials Management*

9. MR. SUMEDHA BANDARA

Assistant General Manager – Cropcare

10. MR. CHANDANA UDAWELA

Sales Manager

11. MR. ASELA INDIKA

Sales Manager

12. MR. GAYAN DE ABREW

Manager Finance

13. MR. MOHAMED RIZNY

Accountant



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22. Management Discussion & Analysis

“**AgStar Fertilizer remains one of the most well-recognised and trusted brands in Sri Lanka.**”

Led by a vision ‘To be the preferred choice for agri inputs, agri products and related services’, the company remains one of the most well-recognised and trusted brands in Sri Lanka. The AgStar product portfolio consists of chemical fertilizer, organic fertilizers, granular fertilizers, water soluble fertilizers, hybrid exotic vegetable seeds, local vegetable seeds, agro chemicals, growth stimulants and specialty agro products categorized into Crop care, Fertilizer, Seeds, Grains, Exports and Property segments of the business.

The unfavourable industry conditions from the previous year, namely, severe regulatory pressures, inclement weather conditions and unfavourable market demand, persisted well into the year under review, requiring the Group to take several strategic

decisions to stem losses by divesting several businesses. Despite being geared for growth, the adverse market conditions in the sector stymied the hopes of a fruitful 2017/18 financial year.

SECTOR PERFORMANCE

The value added growth in the agriculture, forestry and fishing activities declined due to the impact of adverse weather conditions during 2017, as in the previous year. The output of major agricultural crops such as paddy, vegetables, other food crops and coconut declined considerably, mainly due to the drought that prevailed during the year. Paddy production during the two seasons, 2016/17 Maha and 2017 Yala, fell significantly, resulting in a decline in the total paddy production by 46.1 per cent to 2,383 million kg, recording the lowest production during the last decade. Paddy production declined in both the 2016/17 Maha season and the 2017 Yala season by 49.2 per cent and 40.1 per cent, to 1.47 million metric tons and 0.91 million metric tons, respectively. Although the Department of Meteorology projected normal rainfall for 2017 for all districts, the South West monsoon did not bring sufficient rain for water to be stored for agricultural purposes. Further, the North East monsoon that usually fills up the dry zone tanks towards the last quarter of the year also failed, leading to low water levels to grow rice in 2017. Production of both vegetables



and other food crops was also hampered by adverse weather, with vegetable production declining during the 2016/17 Maha season as well as the 2017 Yala season.

COMPANY PERFORMANCE

FERTILIZER

Once the largest contributor to group profitability, growth of the Fertilizer business was restricted due to stringent policy decisions. Our volumes and turnover grew by 17% and 18% respectively, which tells a vivid story of wafer thin margins in the business which impacted our bottom-line. Despite an increase in global prices of fertilizer and the devaluation of the rupee against the dollar, we were unable to increase selling price in line with these market developments due to government dictating ceiling prices of urea, MOP and TSP. Sales declined drastically in the final quarter of the 2017/18 financial year as private sector players reduced fertilizer imports. The shortage of fertilizer in the market subsequently led the government to take urgent measures to supply demand.

In addition to this blow for the company, the government announced subsidised fertilizer for farmers at the beginning of 2018. Following this announcement, sales declined as hitherto tea and rubber cultivating customers opted to wait for the subsidy fertilizer. Thereafter, the government decreed that paddy farmers will get exclusively subsidized fertilizer by government agrarian



24. Management Discussion & Analysis

“We are optimistic about the prospects for Cropcare, having restructured the business with the appointment of a new team, and strongly believe we can achieve the ambitious targets set for the coming year.”

institutes, which implies that the paddy sector, which makes up more than 50% of the market, will be out of bounds for the private sector. It has since, announced an upper limit of 375,000 metric tons of fertilizer imports for the non paddy sector, to be distributed via a quota system for the private sector companies.

These policy developments during 2017/18 placed gargantuan hurdles before the company and unless the regulator rethinks these policies, there will be severe long term damage to the sector which is already under pressure from inclement weather. As a company we are excited about modern fertilizer technology in the world market and would like to introduce applicable innovations into Sri Lanka but as long as farmers have access to subsidized products, there will be no incentive to upgrade to more high performing agri inputs.

CROPCARE

The turnover of the company which markets Agro Chemicals and Value Added Fertilizers declined by 14% due to government restriction on many product categories in our portfolio. The registration process for introducing new products in the market is a lengthy one due to which we did not have many of our products on shop shelves in the market. However, we are optimistic about the prospects for this business and to back this up we have launched 13 new product categories. The company also underwent a restructuring with the appointment of a professional marketing team which will focus on growing the share of company's product portfolio in the market. The marketing team will be supported by a R&D unit and the teams have been set ambitious targets which we hope to achieve in the new financial year.



“We have launched 13 new crop care product categories during the year.”

SEEDS

AgStar Seeds

The company's operations were adversely affected due to extreme weather conditions. Buoyed by the sale of our maize seeds, we launched the BISI222 category of maize by leveraging on our Indonesian supplier with whom we are actively collaborating to



CROPCARE

13

NEW PRODUCTS INTRODUCED

RESTRUCTURING OF
MARKETING TEAM

SEEDS

INTRODUCTION OF NEW SEED
VARIETIES IN THE FUTURE

BUILDING RELATIONSHIPS,
EXPANDING OUR NETWORK

26. Management Discussion & Analysis

develop more products. The company recorded a flat turnover and overhead cost of Rs. 32 Mn incurred in the previous year was reduced to Rs. 26 Mn in the current year. We have minimized stocks that need to be written off as much as possible while improving efficiencies in systems and processes. We are excited about a number of new seed varieties which are currently under trial and which we aim to launch soon.

The company remains committed to introduce new high yield products while expanding our out-grower network.

PRITH SEEDS

The company posted a 45% drop in turnover during the period under review due to unfair competition from the previous owner of Prith Seeds, who launched an almost duplicate branded product to look like ours in an effort to dupe the market by leveraging on our trusted brand. By the time we realized this infringement of our intellectual copyright and launched legal action to stop the infringement, our business had recorded a decline. The company is claiming Rs. 80 Mn in compensation for the loss of sales due to the copycat product. Recognizing the authenticity of our claim, the Commercial High Court of Colombo has issued an Interim Order preventing the accused from using the business identifier similar to the trade mark 'PS – Poloseed' of Prith Seeds (Pvt) Ltd. As of March 2018, the violator is barred from using the same branding, packaging and similar product labels and has taken back

all his fake products from the market. Through this, we remained in close touch with our valued dealers and suppliers, updating them on the situation and reaffirming our support. Unfortunately, the legal process took up most part of the year during which the fake products were being sold at a cheaper price than ours, luring innocent customers. We will continue building relationships in our supply chain to ensure loyalty to the company.



“Our decision to move away from pure rice milling to other agri inputs and agri trading proved fortuitous for the Company.”

GRAINS

AgStar Grains Pvt Ltd

Our decision in the previous year to move away from pure rice milling to other agri inputs and agri trading proved fortuitous for the company. However, it was only in July 2017 that we managed to clear stocks of the company and shut down operations wholly, as a result of which some losses are included in this year's accounts. The company's losses were reduced by as much as 66% from the previous year.



Mahaweli Agro Trading Pvt Ltd

Engaged in agri input trading and fertilizer sales under the Mahaweli brand, the company has strengthened its marketing activities during the year, successfully reducing overheads. During the year, branding and marketing activities grew significantly. The company has grown from a trading loss in previous years to a trading profit due to this changeover. Yet again, the regulator reintroduced subsidy and along with it import quotas for each company which heralds an uncertain future for the company. We can do little else but wait and see how the new quota system unfolds and what it will mean for the company.



GRAINS

A SIGNIFICANT MOVE: FROM RICE MILLING TO OTHER AGRI INPUTS AND AGRI TRADING

A MARKED REDUCTION IN LOSSES

BRANDING AND MARKETING ACTIVITIES GREW SIGNIFICANTLY

28. Management Discussion & Analysis

“The company will sustain its efforts to tap into new markets through proactive marketing initiatives.”

EXPORTS

The decision taken to concentrate on value added products in the local market in order to generate additional revenue was sustained during the year, but breaking into overseas markets proved difficult as a result of which the turnover of the export company improved marginally by 9%. Our adherence to USDA and EU quality certifications and ISO 2005 ensures acceptability by high-end markets, as it satisfies their quality demands and exacting hygiene standards. We have all the systems in place and hope to generate higher demand in our target export markets. In the interim, in an effort to cover operating cost, we are marketing our products aggressively in the local market as well. The company markets sunflower oil and sugar sachets under the K Choice brand and is poised to add vegetable oil under the K-Choice brand shortly. Further, Cargills has also agreed to market sugar sachets in

the future. Retail selling of vegetable oil to bulk buyers has already commenced. The company also supplies sugar sachets to the leisure sector.

The company will sustain its efforts to tap into new markets through proactive marketing initiatives. We are also focused on moving up the value chain in our local business to further augment our revenues. The company will continue to explore consumer needs that it can fulfil by leveraging on its trusted relationships with its distributor network.



PROPERTY

The company took a decision to sell its Athurugiriya property during the year under review for a sum of Rs. 168 Mn, which contributed to overall group profits. Meanwhile, we continued our practice to revalue our Ekala property which we have retained. We have developed the land at Ekala to house our businesses and during the year, we shifted several companies to this location so as to reduce overhead costs of renting premises. As a result of the land valuation coupled with the gains from the sale of the Athurugiriya land the company made a substantial profit during the year.

“The property sector witnessed an appreciation in value of its assets base which were valued above Rs. 1.1bn.”

**EXPORT****9%****GROWTH IN TURNOVER**

FOCUS AREAS:
TAP INTO NEW MARKETS
MOVE UP THE VALUE CHAIN

PROPERTY

**DIVESTED PROPERTY IN
ATHURUGIRIYA**

**RS. 1.1 BN
ASSET BASE**

30. Management Discussion & Analysis

FINANCIAL REVIEW

The Group posted a total comprehensive income of Rs. 388 Mn for the 2017/18 financial year, which includes a Rs. 363 Mn revaluation gain (net of tax) of the Ekala property and the proceeds from the sale of the land at Athurugiriya. In light of the challenging year, the turnover growth was marginal, however Profit after tax stood at Rs. 27 Mn as against Rs. 22 Mn in losses recorded in the previous year. The final subsidy amount due to the company from the government as at December 2015 was finally issued to us during this financial year to the tune of Rs. 2.6 Bn. The company had to pay a heavy interest cost due to over two-years delay on the part of the government in making this payment. The total asset base of the Group increased by 13% during 2017/18 and return on assets at 0.54% showed an improvement compared to a figure of negative 0.51% in the previous year.

Earnings per share reflected the increase, namely 0.08 as compared to negative 0.07 in previous year. There were no new share issues during the period under review and the return on shareholders' equity was positive at 0.95% as against negative 0.94% in the year 2016/17.

SHAREHOLDER INFORMATION

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Share Prices

The highest share price recorded during the financial year was at Rs. 5.8 whereas the lowest recorded at Rs. 4.3. The table of graphs depicts the AgStar share price trends during the year under review. The share prices fluctuated during the year under review ending at Rs. 5.00 per share as at 31 March 2018.

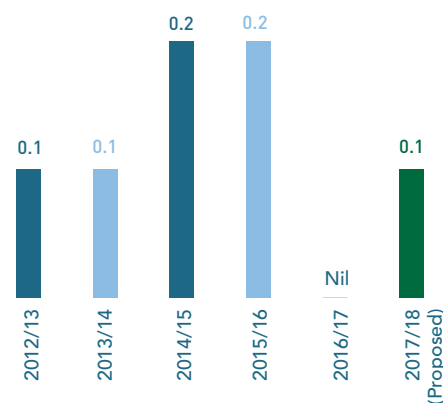
THE INTEREST COVER

The interest cover during the year increased to 4 from the figure of 3 times (on profit from continued business) in 2016/17. This is a result of repayment of the loans and overall decrease in the interest cost in the group as whole compared to the previous year.

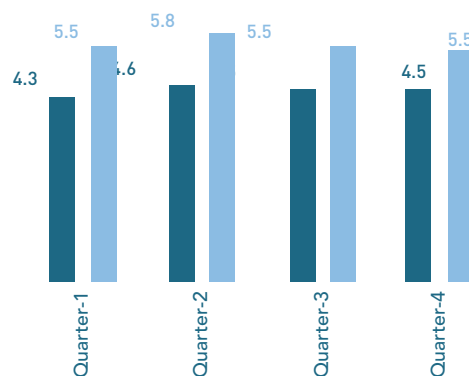
DIVIDENDS

The Directors have recommended a final dividend payment of Rs. 0.10 per share for the financial year 2017/18.

Dividend per Share

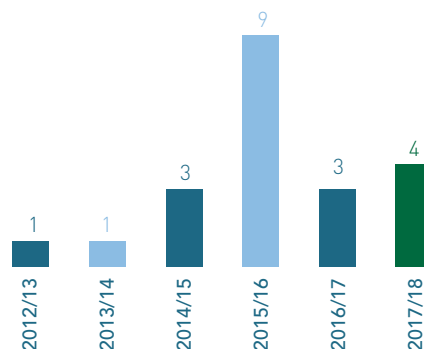


Share Price



Interest Cover

(Times)



Sustainability Report .31

The quest for global food security is an ongoing one and AgStar PLC is proud to be taking Sri Lanka closer to achieving this goal. Enhancing agricultural production in the country is a must, especially, given the extreme weather conditions experienced in the last few years which have hampered the sector from realizing its true potential. Against a backdrop of the under-performing agricultural sector, AgStar PLC's efforts to supply vegetable seeds, cropcare and fertilizers is making a difference in encouraging farmers to cultivate more, to enrich the country's nutrition profile. Our sustainability journey focuses on the triple bottom-line growth that forms the basis of our core business values - People, Planet and Profits.

Our commitment to run our business sustainably informs every system and process across the enterprise. Although external operating conditions put pressure on profitability in the period under review, we leveraged on process efficiencies and streamlined and restructured the business to ensure sustainability into the future. We are mindful of the impact of our operations on the environment and society and towards this we ensure that we make a positive difference in the lives of stakeholders while at the same time dealing in products that comply with laid down environmental standards.

EMPLOYEES

AGSTAR CORPORATE CULTURE

Our people are at the heart of our business and the company strives to provide safe and conducive workplace conditions that motivate and develop the careers of our employees. As an equal opportunity employer, AgStar PLC does not discriminate on grounds of race, gender, ethnicity or religion. We have a diverse mix of employees comprising of both experienced and fresh recruits so that the business and our processes remain dynamic. The majority of our factory employees are recruited from the areas surrounding the factory as we make a determined effort to provide employment opportunities to local communities.

A warm and open work culture defines our culture and ensures that employees function as a tight unit working together in cooperation to achieve the organization's strategic goals. The senior management maintains a direct line of communication with employees across all levels, which ensures every employee, has a voice in the company's decisions. Our code of conduct, whistle-blower policy and anti-corruption policies provide our employees with a platform to raise any concerns or issues that may threaten our business ethics. We take stringent measures to ensure that health, safety, security and environmental concerns are taken into account by our suppliers, transporters, contractors and distributors.

HEALTH AND SAFETY

Employees spend at least 8 hours a day in the workplace and this means that they have a right to working in safe and secure conditions that ensures their well-being. AgStar complies with workplace safety regulations and meets all necessary legal, industry and market requirements pertaining to employee welfare.

APPRAISALS & REMUNERATION

All AgStar employees are evaluated through the guidelines of the Performance Evaluation process. The performance appraisal ratings system aids in the salary increment process with the aim of instilling a performance based culture. In order to ensure that our remuneration levels are in line with the industry, the Company undertakes a comprehensive salary, perks and medical benefits review, every year, at the initiative of the AgStar remuneration committee and with the involvement of a third-party salary survey institution.

LEARNING & DEVELOPMENT

In order to retain employees, it is critical to provide opportunities for them to learn and develop their technical and soft skills. The company provides hands-on job training and in-house and external training sessions based on the identified needs to upskill employees.

COMMUNITY

AgStar PLC strives to expand its direct engagement with customers and farmers and has adopted several measures to deepen its engagement with the farming community. The company closely engages with farming communities on activities related to Seeds, Fertilizer, Grains and Cropcare. By providing them with products they need to reap a rich harvest, we ensure they grow sustainably.

AgStar PLC has extended classes for farmers and graduates in the discipline of agriculture to refresh and improve their knowledge about agricultural practices and latest trends. The farming community is our key stakeholder therefore we share technical knowledge with them on how to enhance yields and other crop cultivation methods. In the past, AgStar has donated seeds and expertise to rural schools to develop their own farms in order to assist students who follow agriculture studies. These efforts by the company are aimed at encouraging the youth to explore opportunities in the sector. Furthermore, farmer commercialization is pursued strongly by the company. Our endeavour is to elevate the level at which the farmer operates by helping and supporting him to become a commercial level farmer, through education and supporting value addition activities, while supplying them with primary agricultural products that will help them to uplift their operation.

32. Sustainability Report

“Sustainable agriculture is a critical need and AgStar aims to sustain both Sri Lanka’s fertile soil and our valuable farming community for generations to come.”

SOCIAL RESPONSIBILITY PROJECTS

The Company is closely engaged with the social fabric of the farming community and surrounding villages in proximity to its plants. As a result, AgStar carried out an alms-giving function in neighbouring villages. AgStar conducts social responsibility projects in farming communities in six locations, namely, Anuradhapura, Polonnaruwa, Dambulla, Dehiattakandiya, Kanthale, Ampara and in the upcountry region. The manager of each location is responsible for formulation and implementation of project activities such as;

- ⊙ The drought experienced in the previous year impacted impoverished farmer communities adversely. As a company that works with farmers on a regular basis, we sprung into action and helped the farmers who are suffering due to drought in Anuradhapura by extending financial and technical assistance to resume their livelihoods.
- ⊙ Similarly, the floods stranded many families who lost their assets and livelihoods. AgStar PLC supported 100 families of tea and rubber farmers affected by flood in Kalutara through various types of assistance.



The company also plans to conduct a medical clinic and eye care clinic for the farmer community.

Our project activities are implemented jointly with the relevant government agencies to extend knowledge and support to maximize the benefits of the initiatives.

PRAGNA PRADEEPA GIFTS EDUCATION

In order to promote educational aspirations amongst students, the company makes regular donations of school materials such as the Pragna Pradeepa campaign. For 25 years, Pragna Pradeepa has been enlightening the lives of children with the gift of education. AgStar makes a donation towards the project every year to support the under-privileged school children in the Borella area.

SUPPORTING STUDENTS

The company provided books, uniforms and other school accessories to a rural area school in the Badulla district. Supplying these essentials to students from less privileged backgrounds helped ease the financial burden of their families while motivating the students to sustain their schooling.

LOOKING AHEAD

The sustainability challenges of today are unprecedented and more so against the rampant effects of climate change which are altering weather patterns in Sri Lanka as they are elsewhere in the world. As a country which still has a large percentage of its population working in the agrarian sector, there is a need to ensure they can derive a life of dignity from their chosen livelihood while contributing towards food security for the nation. Sustainable agriculture is a critical need and AgStar aims to provide farmers environmentally-friendly agri inputs to sustain Sri Lanka’s fertile soil and valuable farming community for generations to come.

Corporate Governance .33

GENERAL GOVERNANCE POLICY

The concept of corporate governance covers the entire accountability framework of an organization. It encompasses aspects of both corporate and business governance and is based on the premise that a good governance policy alone cannot make an organization successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organization is able to focus on the key drivers of the business. This concept emphasizes the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas. AgStar PLC("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity, accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

AGSTAR'S ADOPTION OF CORPORATE GOVERNANCE

Being a listed company committed to maintain ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance. It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled. Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	Composition The Board currently comprises of nine Directors which include Seven Non-Executive Directors and two Executive Directors. Three out of Seven Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. Frequency of Board Meetings Five Board Meetings are scheduled to evaluate the performance and to discuss strategy and of Board Meetings and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year.

34. Corporate Governance

Corporate Governance Principle	Principle No.	Level of Compliance				
		Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Committee Meetings
		Mr. N. G. R. Karunaratne	4/4			4/4
		Mr. D. N. N. Lokuge	2/4			
		Mr. A. P. Weerasekera	4/4			4/4
		Mr. A. P. W. Perera	4/4			
		Mr. D. S. K. Amarasekera	0/4			
		Mr. I. C. Nanayakkara	0/4			
		Mr. A. G. Weerasinghe	4/4	5/5	1/1	4/4
		Mr. H. P. J. De Silva	4/4	5/5	1/1	4/4
		Ms. S. Wickramasinghe	4/4			
		Mr. D. Abeyrathne (Alt. Director to Mr. Nanayakkara)	2/4			
Mrs. S. Kotakadeniya (Alt. Director to Mr. Amarasekera)	3/4					
		The Responsibilities of the Board The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively. The Board is responsible for the following:- ☉ formulation, implementation and monitoring of strategy ☉ effective systems to secure integrity of information, internal controls and risk management ☉ compliance with laws, regulations and ethical standards ☉ ensuring all stakeholder interests are considered in corporate decisions				

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detailed under the relevant sections of this Report. Obtaining Independent Professional advice In discharging their duties the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company. Company Secretary The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with Board Procedures, relevant statutory obligations and other applicable rules and regulations. Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.
Chairman's role	A.3	The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: ⊙ effective participation of both Executive and Non-Executive Directors is secured ⊙ all Directors are encouraged to make effective contributions to proceedings ⊙ the views of Directors on issues under consideration are ascertained, and ⊙ Board is in control of the affairs of the Company and alert to its obligations to all stakeholders

36. Corporate Governance

Corporate Governance Principle	Principle No.	Level of Compliance
Financial Acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance
Board balance	A.5	The Board considers the independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Mr. H. P. J. de Silva and Mr. A. G. Weerasinghe meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules.
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; ⊙ the nature of his expertise in relevant functional area, ⊙ other Directorships or memberships in Board sub committees, ⊙ whether the Director is considered an Independent Director.

Corporate Governance Principle	Principle No.	Level of Compliance
Re-election	A.8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of the Company.
Disclosure of Information in respect of Directors	A.9	Current Directors' biographical details are set out on pages 16 to 19 of this Annual Report. These include their main external commitments.
Appraisal of the Managing Director	A.10	The Annual appraisal of the Managing Director is carried out by the Board at pre-agreed performance targets.
Remuneration Procedure	B.1	The Board has established a formal and transparent procedure for developing policy on Executive remuneration and for fixing the remuneration. In order to avoid potential conflicts of interest, the Board has delegated powers to the Remuneration Committee to make recommendations to the Board on remuneration policy and practice that is consistent with the Objectives of the Company. The Remuneration Committee consists of two Non-Executive independent Directors. The names of the members of the Committee are indicated in the Directors' Report on the State of Affairs of the Company.
Level and makeup of remuneration	B.2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 45 of this Report.
Directors	B.3	The total remuneration of the Directors' disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C.1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.
Major transactions	C.2	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 01 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.

38. Corporate Governance

Corporate Governance Principle	Principle No.	Level of Compliance
Financial reporting	D.1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 50 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Internal control	D.3	The Audit Committee consists of two Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- ⊙ Review the financial reporting system ⊙ Review internal control framework and identify business risks ⊙ Review the quality of external and internal audit performance ⊙ Review compliance with laws, regulations and professional standards ⊙ Recommend the appointment and fees of external auditors The Committee met four times during the year The Chairman and the Managing Director of the Company attended all meeting by invitation.
Code of Business Conduct and Ethics	D.4	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus it supports all employees in acting ethically not only in their dealings with one another but also outside the Company.
Institutional and Other investors		
Shareholder voting	E.1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Disclosures pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs		Corporate Governance Report
7.10.2(a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent		Corporate Governance Report
7.10.2(b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non-independence in the prescribed format		Corporate Governance Report
7.10.3(a) and (b)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report		Corporate Governance Report
	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is met		Corporate Governance Report
7.10.3(c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/her area of expertise		Profiles of the Board of Directors
7.10.4	Criteria for defining "independence"	Requirements for fulfilling criteria		Corporate Governance Report

Rules relating to Remuneration Committee

7.10.5(a)	Composition of Remuneration Committee	The Committee shall comprise of Non-Executive Directors, a majority of whom shall be independent		Corporate Governance Report ,Directors' Report on the state of affairs of the company
		The Chairman of the Committee shall be a Non-Executive Director		
7.10.5(b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the remuneration payable to the Executive Directors and Chief Executive Officer or equivalent role		Corporate Governance Report ,Remuneration Committee Report
7.10.5(c)	Disclosure in the Annual Report	The Report should include the names of the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors		Corporate Governance Report, the Directors' Report on the state of affairs of the company and the Remuneration Committee Report

40. Corporate Governance

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
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Rules relating to Audit Committee

7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	C	Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Audit Committee Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re-appointment and removal of the external auditors and approving their remuneration and terms of engagement	C	Corporate Governance Report, Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	C	Directors' Report on the state of affairs of the Company, Audit Committee Report

Rules relating to Related Party Transaction Review Committee

9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as Chairman of the Committee.	C	Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report
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CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
9.2.1	Disclosure in the Annual Report	The names of the members of the Audit Committee A statement to the effect that the Committee has reviewed the Related Party Transactions during the financial year and has communicated the comments/observations to the Board of Directors. The policies and procedures adopted by the Committee for reviewing the Related Party Transactions. The number of times the Committee has met during the Financial Year A declaration by the Board of Directors in the Annual Report as an affirmative statement of the compliance with these Rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transaction/s.		Directors' Report on the state of affairs of the Company, Related Party Transaction Review Committee Report
9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as Chairman of the Committee.		Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report
9.2.1	Functions of the Related Party Transaction Review Committee	Reviewing all Related Party Transactions except for transactions set out in Rule 9.5		Corporate Governance Report, Related Party Transaction Review Committee Report

 Compliant

42. Report on Risk Management

No business that does not face any risk can be found in the world. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the unsystematic risk represents the risk unique to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment Government rules and regulations in relation to the agro industry etc. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. The following are the highlights of the key risks and the associated risk mitigating activities of the AgStar group.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio.	- Stringent evaluation of risks associated with each new investment is carried out by in-house expertise and external resources as when required. - Formation of strategic alliances with reputed partners to create synergies and share the investment risk. - Address potential adverse ethical, social and environmental factors before venturing into such new projects
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL) Delays in subsidy component settlements	- Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. - Constant follow-up with Government authorities to recover the subsidy component within the stipulated time period. - Carry out necessary and appropriate representative efforts in this regard.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	- Closely monitors domestic and global economic activities that could have an impact on Group's business to take precautions. - Maintain sound relationships with relevant stakeholders
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly to floating interest rates.	- Ensures maximizing returns on financial investments and minimizing cost borrowing - Use of appropriate financial and hedging strategies to minimize interest rate risk. - Negotiate for concessionary interest rates using AgStar's strength as a listed Company

Description of Risk	Risk Mitigation
Exchange Rate Risk Adverse impact of exchange rate fluctuations on Group's cash flows, assets and liabilities, and business activities such as purchase of raw materials and capital goods.	- Exchange rate fluctuations are considered in the subsidy formula; hence a natural hedged persist to a reasonable extent - Monitors the effects of foreign currency movements on the Group's business. - Adopt timely and appropriate hedging activities to mitigate foreign exchange risk - Enter into forward rate booking agreements when necessary
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	- Monitors complaints with regulatory requirements. - Participate in representative effort against regulations that could have a negative impact on business / industry.
Credit Risk The probability of the loss of income owing to default by the company's debtors	- Conduct in-depth analysis of debtors on their performance. - Regular follow-up on overdue debtors to minimize potential losses.
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	- Build strong employer brand. - Implement an effective human resource policy and a plan which is reviewed by the remuneration committee. - Adopt an open door policy where any employee can speak to the senior management regarding their concerns.
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	- Conduct periodic internal audit reviews to ensure complaints and the effectiveness of internal control system. - Maintain a business continuity plan to ensure disaster preparedness.
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	- Maintain a business continuity plan to ensure disaster preparedness. - Use of AgStar's group strength as a listed Company to raise economical funding as and when required.
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Appropriate representative efforts
Competition Risk Risk of losses from a decline in company's competitiveness.	- Carry out regular analysis on competitor activities and performance. - Formulate strategies to enhance AgStar's market share.

44. Statement of Directors' Responsibility

The Directors are responsible, under the Companies Act No 7 of 2007, to ensure compliance with the requirements set out therein to prepare Financial Statements for each financial year giving a true and fair view of the state of affairs of the Company and the Group as at the end of the financial year and of the profit and loss of the Company and the Group for the financial year.

In preparing financial statements the Directors are required to ensure that:

- Appropriate accounting policies have been selected and applied consistently.
- Financial Statements have been prepared and presented in accordance with the Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards (LKAS);
- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken appropriate steps to ensure that the Companies within the Group maintain adequate and accurate records which reflect the true financial position of each such company and hence the Group.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 57 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the statement of financial position have been paid, or where relevant provided for, except as disclosed in note 32 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



P. R. Secretarial Services (Pvt) Limited

Secretaries

Colombo

1st June 2018

Remuneration Committee Report .45

COMPOSITION OF COMMITTEE

The remuneration committee appointed by the Board of Directors consists of two independent non-executive Directors. The members of the committee during the year under review were Mr. Janaka de Silva (Chairman) and Mr. A G Weerasinghe.

COMMITTEE MEETINGS

The committee met once the year under review as per the table on page 34 of this report and the minutes of the meeting were presented to the Board.

ATTENDANCE

The Chairman/CEO and Managing Director attend the meeting of the Remuneration Committee by invitation to discuss the performance of the senior executives and to make proposals as deemed necessary except where their own remunerations are discussed.

ROLE OF THE COMMITTEE

The role of the Remuneration Committee is to;

- ⊙ formulate the remuneration policy of the company to attract and retain high calibre personnel and motivate them
- ⊙ make recommendations to the Board and monitor the level and structure of remuneration for senior management
- ⊙ make recommendations to the Board on the Company's framework of executive remuneration and its cost, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors

- ⊙ make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions)

REMUNERATIONS TO DIRECTORS

The remuneration paid to Directors during the year under review is indicated on note 10 to the financial statements.



Janaka de Silva

Chairman- Remuneration Committee
Colombo

1st June 2018

46. Related Party Transactions Review Committee Report

ADOPTION OF THE CODE OF BEST PRACTICES ON RELATED PARTY TRANSACTIONS

The Board of Directors of the Company decided to adopt the Code of Best Practices on related party transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka (SEC) and established the Related Party Transactions Review Committee at its meeting held on 30th March 2016.

PURPOSE OF THE COMMITTEE

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent Directors, key management personnel or substantial shareholders taking advantage of their positions.

COMPOSITION OF THE COMMITTEE

The Committee consists of four (4) members with a combination of independent non-executive and executive directors. The members of the Committee are:

Name	Position
Mr. A. G. Weerasinghe (Committee Chairman)	Non -Executive and Independent Director
Mr. H.P.J. De Silva	Non -Executive and Independent Director
Mr. N. G. R. Karunaratne	Chief Executive Officer /Chairman
Mr. A. P. Weerasekera	Managing Director

GM-Finance, who attends the meetings by invitation functions as the Secretary to the Committee.

CHARTER OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

The Related Party Transaction Review Committee Charter clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently the Committee has been authorized to:

- ⊙ Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities.
- ⊙ Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- ⊙ Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- ⊙ Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- ⊙ Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- ⊙ Obtain the advice and assistance from legal, technical, financial and other advisors from within or outside the Company as deemed necessary by the Committee in order to carry out its duties; and
- ⊙ Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

RESPONSIBILITIES

The following key responsibilities have been set out in the Charter;

- ⊙ Ensure that the company complies with the rules set out in the Code.

Subject to the exceptions given under Rule 27 of the Code, the Committee shall review in advance all proposed related party transactions.

- ⊙ Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee of the Board of Directors as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

MEETINGS

The Committee shall meet on quarterly basis and the attendance at meetings is given the table on page 34 of this Annual Report.

Review of proposed related party transaction during 2017/18 four meetings were held by the Committee.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2017/18. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not favourable to the related parties than those generally available to the public. The details of related party transactions entered during the year are given in Note 30.1 to the financial statements on page 107 of this Annual Report.

POLICIES AND PROCEDURES

The GM - Finance is responsible for reporting to the Committee for its review and approval/ disapproval, the information set out under Rule 30 of the Code at the minimum in respect of each related party transaction proposed to be entered into other than the exceptions given in Rule 27 of the Code.

In addition, on a quarterly basis, the G M Finance is required to report on the previous quarter's actual related party transactions to the Committee.

DECLARATION

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.

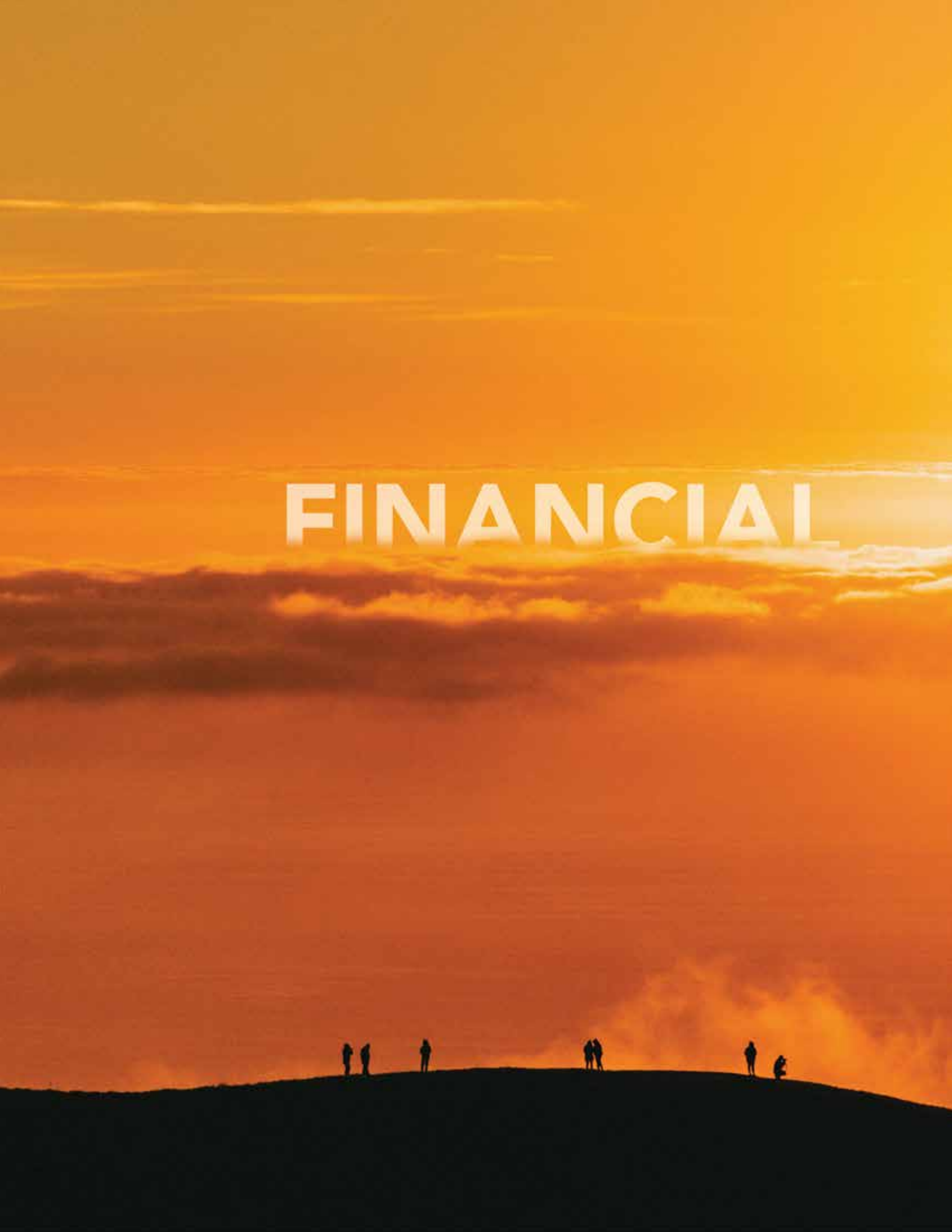


A. G. Weerasinghe

Chairman

Related Party Transaction Review Committee

1st June 2018



FINANCIAL





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50. Directors' Report on the State of Affairs of the Company

The details set out in the following report provide information required by the Companies Act No 07 of 2007 and the listing rules of the Colombo Stock Exchange of Sri Lanka and are guided by recommended best practices on Corporate Governance. This Report was approved by the Board of Directors by Resolution passed as of 1st June 2018.

GENERAL

The Directors of AgStar PLC (the Company) have pleasure in submitting their report together with the audited Financial Statements of the Company, and the audited consolidated Financial Statements of the Group for the year ended 31st March, 2018 and the Auditors' Report thereon.

REVIEW OF PERFORMANCE FOR THE YEAR ENDED 31ST MARCH, 2018

The operations of the Company and its subsidiaries for the year ended 31st March, 2018 are reviewed in the Chairman's Report and the Managing Director's review.

COMPANY ACTIVITIES AND STRUCTURE

AgStar Fertilizers (Private) Limited (Reg: No. N[PVS] 30875) was incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and was re-registered as per the Companies Act No. 07 of 2007 (Reg: No PV 1618) On 26th December, 2007. The name of the Company was changed to AgStar Fertilizers Limited (Reg. No. PV 1618 PB) pursuant to the change of its status to a limited liability company. On 16th February, 2012 the shares of AgStar Fertilizers Limited were listed on the DiriSavi Board of the Colombo Stock Exchange and the name of the Company thus changed to AgStar Fertilizers PLC with effect from 8th May, 2012. Subsequently, the name was changed to AgStar PLC with effect from 21st July 2014.

During the year the Principal Activity of the Company was to carry out the business of importing, blending and marketing of fertilizer products.

The Company has eight subsidiary companies and their activities are given on page 65 of this Annual Report.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the Group as to give a true and fair view of the State of Affairs of the Company and Group.

The Statement of Directors Responsibility for Financial Reporting is given on Page No 44

The Financial Statements of the Company and the Group are given on pages 60 to 113.

ACCOUNTING POLICIES

The Accounting Policies adopted in preparation of Financial Statements are given on pages 65 to 83 There were no material changes in the Accounting Policies of the Group during the year under review.

AUDITORS

The Financial Statements for the year ended 31st March, 2018 have been audited by Messrs KPMG (Chartered Accountants.)

A resolution for the re-appointment of Messrs KPMG Chartered Accountants and authorizing the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note No 10 on Page 86 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG do not have any relationship with the Company other than that of Auditors.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on page No 57 of this Report.

RESULTS AND APPROPRIATIONS

The profit after tax of the parent Company, AgStar PLC was Rs. 99.22 million (2017- loss of Rs. 405.8 million), whilst the Group profit attributable to the equity holders of the parent for the year was Rs 26.59 million (2017- loss of Rs. 22 million). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below.

Financial Results	31st March	31st March
	2018	2017
Operating profit	190,829,762	282,563,975
Finance cost	(43,058,470)	(100,822,097)
Finance income	8,268,166	62,362,235
Profit before tax	156,039,458	244,104,113
Income tax expense	(65,731,848)	(76,716,842)
Profit from continuing operations	90,307,610	167,387,271
Profit from discontinued operations (net of tax)	(63,716,713)	(189,853,750)
Profit /(loss) for the Year	26,590,897	(22,466,479)
Other comprehensive income (net of tax)	(1,673,614)	2,400,696
Profit/(loss) available to Group's Shareholders	24,917,283	(20,065,783)
Balance brought forward from previous year	802,252,703	887,318,486
Amount available for appropriation	827,169,987	867,252,703
Final Dividend	-	(65,000,000)
Balance to be carried forward next year	827,169,987	802,252,703

DIVIDENDS

The Company declared final dividend payment of Rs. 0.10 per share for 2017/ 2018 financial year.

PROPERTY, PLANT AND EQUIPMENT

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note No 15 to the Financial Statements on pages 92 to 97. The book value of property, plant and equipment as at the reporting date amounted to Rs. 1,418 million (2017-Rs. 1,029 million) and Rs. 320 million (2017-Rs. 240 million) for the Group and Company respectively.

STATED CAPITAL

The Stated Capital of the Company as at 31st March, 2018 was Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares (2017- Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares) as given in note 24 to the financial statements.

DONATIONS

The Company has made a donation amounting to Rs. 440,000 during the year.

CAPITAL COMMITMENTS

The Capital Expenditure Commitments as at 31st March, 2018 is given on page 108.

REVENUE RESERVES

The reserves consist of retained earnings. The revenue reserves as at 31st March 2018 for the Group and Company amounted Rs. 827 million (2017-Rs. 802 million) and Rs. 817 million (2017-Rs. 720 million). Details and movements of reserves are disclosed in the Statement of Changes in Equity on Pages No 62 to 63 to the Financial Statements.

PROVISION FOR TAXATION

The provision for taxation is computed at the rates as disclosed in Note No.11 on page 87 to 89 the Financial Statements.

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 44 of this Report.

52. Directors' Report on the State of Affairs of the Company

CONTINGENT LIABILITIES

Contingent Liabilities outstanding as at 31st March, 2018 are given in Note No 32 on page 108 to the Financial Statements.

EVENTS AFTER THE REPORTING PERIOD

The events occurring after the reporting dates are given in Note No 33 on page No 109 of the report.

CORPORATE GOVERNANCE AND INTERNAL CONTROLS

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

An Audit Committee, Remuneration Committee and the Related Party Transaction Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows;

AUDIT COMMITTEE

Mr. H.P.J. De Silva (Independent Non-Executive Director)

Mr. A.G. Weerasinghe (Independent Non – Executive Director)

REMUNERATION COMMITTEE

Mr. H.P.J. De Silva (Independent Non-Executive Director)

Mr. A.G. Weerasinghe (Independent Non – Executive Director)

RELATED PARTY TRANSACTION REVIEW COMMITTEE

Mr. A.G. Weerasinghe (Independent Non – Executive Director)

Mr. H.P.J. De Silva (Independent Non-Executive Director)

Mr. N. G. R. Karunaratne (Chief Executive Officer/ Chairman)

Mr. A. P. Weerasekera (Managing Director)

Company's compliance with rules on corporate governance are given in corporate governance report on pages 33 to 41. The Audit Committee Report and the Remuneration Committee Report are disclosed in Page No 56 and Page No 45 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

COMPLIANCE WITH RULES & REGULATIONS

The Company has complied with tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

GOING CONCERN

After considering the financial position as at 31st March 2018 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore the Directors have adopted the assumption of going concern in preparing these Financial Statements.

EMPLOYMENT POLICY

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2018 was 155.

EQUITABLE TREATMENT TO STAKE HOLDERS AND THEIR INTEREST

The Group has taken all steps to ensure the equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safe guard the interest of its stake holders.

ENVIRONMENTAL PROTECTION

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

DIRECTORS DURING THE YEAR

The Directors of the Company during the financial year were as follows:

Mr. N. G. R. Karunaratne (Chairman)

Mr. D. N. N. Lokuge (Deputy Chairman)

Mr. A. P. Weerasekera (Managing Director)

Mr. W. A. P. Perera

Mr. D. S. K. Amarasekera

Mr. I. C. Nanayakkara (Resigned from 08.03. 2018)

Mr. A. G. Weerasinghe

Mr. H. P. J. de Silva

Mrs. S. Wickramasinghe

Mr. W.K.D. T. Abeyrathne - (Alt. Director to Mr. I.C. Nanayakkara) (ceased on 08.03.2018)

Mrs.V.G.S. S. Kotakadeniya - (Alt. Director to Mr. D.S.K. Amarasekera)

Resignations during the year

Mr.I.C.Nanayakkara resigned with effect from 08th March 2018

Appointments after the conclusion of the year

Mr. W.K.D. T. Abeyrathne appointed with effect from 10th April 2018

The detailed profiles of the Board of Directors of the Company are given on pages 14 to 19 of this Report.

ROTATION/ RE-ELECTION OF DIRECTORS

- I. Ms. S.Wickramasinghe retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer herself for re-election.
- II Mr. W.K.D.T.Abeyrathne who retire by rotation in accordance with Article 23 (8) of the Articles of Association of the Company and being eligible, offer himself for re-election.
- III. Mr. N.G.R. Karunaratne who is presently 81 years of age will cease to hold office at the conclusion of the Annual General Meeting and it is proposed to move a resolution for his re-appointment for a further period of one year or up to the date of the next Annual General Meeting (whichever occurs first) and for the non-application of the age limit referred to in Section 210 of the Companies Act No. 7 of 2007.
- IV. Mr. H.P. J. de Silva who is presently 73 years of age will cease to hold office at the conclusion of the Annual General Meeting and it is proposed to move a resolution for his re-appointment for a further period of one year or up to the date of the next Annual General Meeting (whichever occurs

first) and for the non-application of the age limit referred to in Section 210 of the Companies Act No. 7 of 2007.

- V. Mr. A.G. Weerasinghe who is presently 76 years of age will cease to hold office at the conclusion of the Annual General Meeting and it is proposed to move a resolution for his re-appointment for a further period of one year or up to the date of the next Annual General Meeting (whichever occurs first) and for the non-application of the age limit referred to in Section 210 of the Companies Act No. 7 of 2007.

INDEPENDENT DIRECTORS

During the year the following Directors were acting as the Independent Directors of the Company;

Mr. A. G. Weerasinghe

Mr. H. P. J. de Silva

Ms. S. Wickramasinghe

DIRECTORS INTEREST REGISTER

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained during the accounting period under review.

DIRECTORS' INTEREST IN CONTRACTS

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in note 31 to the Financial Statements.

DIRECTORS' INTEREST IN SHARES

Name of The Director	As At 31st March 2018		As At 31st March 2017	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. N. G. R. Karunaratne	8,229,310	Nil	8,229,310	Nil
Mr. D. N. N. Lokuge	3,125,000	Nil	3,125,000	Nil
Mr. A. P. Weerasekera	7,243,310	5,824,550	8,053,310	5,824,550
Mr. W. A. P. Perera	3,120,000	Nil	3,120,000	Nil
Mr. D. S. K. Amarasekera	Nil	Nil	Nil	Nil
Mr. I. C. Nanayakkara	Nil	Nil	Nil	Nil
Mr. A. G. Weerasinghe	Nil	Nil	Nil	Nil
Mr. H. P. J. de Silva	Nil	Nil	Nil	Nil
Mrs. S. Wickramasinghe	Nil	Nil	Nil	Nil

54. Directors' Report on the State of Affairs of the Company

DIRECTORS FEES AND REMUNERATION

The amount of the Directors fees and Remuneration paid during the year is given in note No. 10 to the Financial Statements on page 86.

RELATED PARTY TRANSACTIONS

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in note 31 to the Financial Statements.

SHAREHOLDERS

The number of registered shareholders' of the Company as at 31st March, 2018 was 921.

The distribution and analysis of shareholdings were as follows:

Number of Shares	As At 31st March 2018			As At 31st March 2017		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	563	131,276	0.04%	557	131,063	0.04%
1001-10000	222	920,943	0.30%	247	1,075,698	0.35%
10001-100000	100	3,227,347	1.05%	104	3,340,421	1.09%
100001-1000000	22	8,206,284	2.67%	21	7,128,668	2.32%
1000001- & Over	14	295,040,460	95.94%	14	295,850,460	96.20%
Total	921	307,526,310	100%	943	307,526,310	100%

RESIDENT / NON RESIDENT

Resident/Non Resident	As At 31st March 2018			As At 31st March 2017		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	916	307,517,960	99.99%	938	307,518,060	99.99%
Non Resident	5	8,350	0.01%	5	8,250	0.01%
	921	307,526,310	100%	943	307,526,310	100%

INDIVIDUAL/INSTITUTION

Individual/ Institution	As At 31st March 2018			As At 31st March 2017		
	No. of Share Holders	No. of Shares	% Of Total	No. Of Share Holders	No. Of Shares	% Of Total
Individual	879	34,642,332	11.26%	894	35,359,271	11.50%
Institution	42	272,883,978	88.74%	49	272,167,039	88.50%
	921	307,526,310	100%	943	307,526,310	100%

LIST OF 20 MAJOR SHAREHOLDERS (VOTING)

Name of shareholders	As at 31/03/2018	
	Share Holding	Percentage %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%
Sampath Bank Plc/Dr.T.Senthilvel	10,627,982	3.46%
Mr.N.G.R.Karunaratne	8,229,310	2.68%
Mr.A.P.Weerasekera	7,243,310	2.36%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%
Mr.D.N.N.Lokuge	3,125,000	1.02%
Mr.W.A.P.Perera	3,120,000	1.01%
Mrs.A.C.P.Irugalbandara	1,500,000	0.49%
Mr.S.Karunaratne	1,250,000	0.41%
Sierra Engineering And Construction (Private) Limited	1,021,607	0.33%
Mr.M.S.S.Ghazaly	1,000,000	0.33%
Miss.G.S.M.Irugalbandara	1,000,000	0.33%
Mrs.A.C.P.Irugalbandara	1,000,000	0.33%
Mr. Samsudeen	737,015	0.24%
Ghazaly Group International (Pvt) Ltd	530,000	0.17%
Shari Investments Private Limited	518,200	0.17%
Total	299,825,675	97.50%

PUBLIC SHAREHOLDING

The percentage of public shareholding as at the 31st of March 2018 was Voting- 16.43% and Non-Voting - 0.01%

ANNUAL REPORT

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 1st June, 2018. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 29 June 2018 at 10:00a.m. at Excel World. The notice of Annual General Meeting is given on page no 118.

On behalf of the Board of Directors.



Mr. N. G. R. Karunaratne
Director



Mr. A. P. Weerasekera
Director



P.R. Secretarial Services (Pvt) Ltd
Company Secretary

Colombo

1st June 2018

56. Audit Committee Report

PURPOSE OF THE COMMITTEE

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the External auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

COMPOSITION

The committee appointed by the Board of Directors consists of two independent non -executive Directors. The committee is headed by Mr. Janaka de Silva who is a member of the Institute of Chartered Accountants of Sri Lanka. Mr. A G Weerasinghe who represents the committee is an experienced senior banker.

The Chairman/CEO and Managing Director attend to the Committee meeting by invitation

MEETINGS

There were 5 meetings of the committee during the year under review; each attendance is stated in the table on page 34 of this report.

FINANCIAL REPORTING

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is responsible for reviewing the internal audit function of the company and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

EXTERNAL AUDIT

The committee has recommended to the Board of Directors that Messer's KPMG to be appointed as the auditors of the company for the year ending 31st March 2019 subject to the approval of the shareholders at the Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



Janaka de Silva

Chairman – Audit Committee

Colombo.

1st June 2018

Independent Auditor's Report .57



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

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Internet : www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

QUALIFIED OPINION

We have audited the financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information set out on pages 60 to 113 of the Annual Report.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion paragraph of our report, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

BASIS FOR QUALIFIED OPINION

As disclosed in note 27.3 to the financial statements, the Group and Company have not recognised a deferred tax liability on the revaluation surplus from land recorded in the financial statements as at 31st March 2018. In our view, a deferred tax liability should have been recognised in the financial statements relating to tax on realisation of land that is considered as a capital asset used in the business as required by LKAS 12 Income Taxes. Accordingly, the deferred tax liability of the Group and Company as at 31st March 2018 has been understated by Rs. 156.3 Mn and Rs. 24.7 Mn respectively and the total comprehensive income of the Group and Company for the year ended 31st March 2018 has been overstated by Rs. 156.3 Mn and Rs. 24.7 Mn respectively.

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of land and building

Refer note 3.5 and note 15 to the financial statements

Risk Description

The Group carries its land and building at fair value with changes in fair value being recognized in other comprehensive income. The Group engaged an independent valuer to determine the fair value as at 31st March 2018. Estimating the fair value is a complex process involving a number of judgments and estimates regarding various inputs. Consequently, we have determined the valuation of land and building to be a key audit matter.

Our Response

Our audit procedures included;

Evaluating the competence, capability and objectivity of the expert engaged by the Group and carrying out inquiries pertaining to the methodology adopted and assumptions used.

Involving our internal specialized resources to assess the reasonableness of the valuations produced by the Group and the methodology adopted, in particular the value per perch and value per square foot.

Testing, a sample of data inputs underpinning the valuation against appropriate supporting documentation, to assess the accuracy, reliability and completeness thereof.

Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherently subjective, and key assumptions in the estimates.

58. Independent Auditor's Report

Impairment assessment on the Group's goodwill

Refer note 3.8 and note 16 to the financial statements

Risk Description

Management performed an impairment assessment of the goodwill recorded in the consolidated financial statements as at March 31, 2018. In performing such impairment assessment, the management compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which goodwill had been allocated, and had a net asset position lesser than the investment made by the Company) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating future cash flows, growth rates and discount rates which can be inherently judgmental.

We identified the assessment of potential impairment of goodwill as a key audit matter because the year-end goodwill impairment assessment performed by management contain certain judgmental assumptions which could be subject to management bias.

Our Response

Our audit procedures included;

Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based.

Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models.

Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates.

Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherently subjective, and key assumptions in the estimates.

Accounting for assets held for sale and discontinued operations

Refer note 3.4 and note 12 to the financial statements

Risk Description

The classification and valuation of net assets of Mahaweli Agro Trading (Private) Limited and AgStar Grains (Private) Limited as held for sale at the reporting date is a key area of management judgment.

In addition, the classification of these businesses as discontinued operations must be carefully considered in line with the relevant accounting standards.

Our Response

Our audit procedures included;

Challenging the management's judgement on the classification and valuation of assets held for sale through understanding the status of the sales process and verifying the valuation of the assets as determined by the management.

Assessing the classification of assets held for sale as discontinued operations against the relevant criteria in the accounting standard.

Assessing the adequacy of financial statements disclosure in relation to assets held for sale.

OTHER INFORMATION

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1224.



CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

1st June 2018

M.R. Mihular FCA
T.J.S. Rajakarier FCA
Ms. S.M.B. Jayasekara ACA
G.A.U. Karunaratne FCA
R.H. Rajan ACA

P.Y.S. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyrathne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel ACA

C.P. Jayatilake FCA
Ms. S. Joseph FCA
S.T.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA
Ms. C.T.K.N. Perera ACA

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

60. Statement of Profit or Loss and Other Comprehensive Income

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
For the year ended 31st March,	Note	2018	2017	2018	2017
Continuing operations					
Revenue	6	3,317,020,076	2,784,898,917	3,099,884,219	2,624,006,258
Cost of sales		(2,784,928,938)	(2,268,930,171)	(2,670,188,161)	(2,192,747,215)
Gross profit		532,091,138	515,968,746	429,696,058	431,259,043
Other income	7	22,425,372	78,918,011	45,852,070	64,298,342
Selling and distribution expenses		(94,580,516)	(95,112,100)	(64,791,195)	(60,194,611)
Administrative expenses		(230,615,705)	(211,581,044)	(156,338,373)	(149,836,508)
Other expenses	8	(38,490,527)	(5,629,638)	(77,790,527)	(589,130,000)
Operating profit/(loss)		190,829,762	282,563,975	176,628,033	(303,603,734)
Finance income		8,268,166	62,362,235	3,141,875	54,144,777
Finance costs		(43,058,470)	(100,822,097)	(35,718,374)	(92,383,536)
Net finance costs	9	(34,790,304)	(38,459,862)	(32,576,499)	(38,238,759)
Profit or loss before taxation	10	156,039,458	244,104,113	144,051,534	(341,842,493)
Income tax expense	11	(65,731,848)	(76,716,842)	(44,826,637)	(63,961,290)
Profit/ (loss) from continuing operations		90,307,610	167,387,271	99,224,897	(405,803,783)
Discontinued operations					
Loss from discontinued operations (net of tax)	12	(63,716,713)	(189,853,750)	-	-
Profit/ (loss) for the year		26,590,897	(22,466,479)	99,224,897	(405,803,783)
Other comprehensive income item that will never be reclassified to profit or loss					
Revaluation of property, plant and equipment		394,891,831	-	78,579,285	-
Deferred tax impact on revaluation of property, plant and equipment		(31,431,353)	-	(4,082,200)	-
Actuarial gain/(loss) on defined benefit obligations		(2,324,464)	3,334,300	(2,120,704)	3,294,738
Deferred tax impact on actuarial gain/(loss)		650,850	(933,604)	593,797	(922,527)
		361,786,864	2,400,696	72,970,178	2,372,211
Other comprehensive income, net of tax		361,786,864	2,400,696	72,970,178	2,372,211
Total comprehensive income		388,377,761	(20,065,783)	172,195,075	(403,431,572)
Attributable to:					
Equity holders of the Company		26,590,897	(22,466,479)	99,224,897	(405,803,783)
Non-controlling interests		-	-	-	-
Profit/(loss) for the year		26,590,897	(22,466,479)	99,224,897	(405,803,783)
Attributable to:					
Equity holder of the parent		388,377,761	(20,065,783)	172,195,075	(403,431,572)
Non-controlling interests		-	-	-	-
Total comprehensive income for the year		388,377,761	(20,065,783)	172,195,075	(403,431,572)
Earnings per share					
Earnings/(deficit) per share - basic/ diluted (Rs)	13	0.08	(0.07)	0.31	(1.25)

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

Statement of Financial Position .61

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
As at 31st March,	Note	2018	2017	2018	2017
Assets					
Non-current assets					
Property, plant and equipment	15	1,417,702,722	1,029,491,892	319,950,427	239,570,562
Intangible assets	16	57,025,992	57,425,992	-	-
Investment property	17	-	155,000,000	-	-
Investments in subsidiaries	18	-	-	476,229,088	476,229,088
Deferred tax assets	19/27	178,940	26,114	61,794,927	-
Total non-current assets		1,474,907,654	1,241,943,998	857,974,442	715,799,650
Current assets					
Inventories	20	1,735,349,878	922,668,272	1,648,563,969	835,224,799
Trade and other receivables	21	940,628,328	1,371,143,514	881,742,796	1,312,628,467
Amounts due from related companies	22	-	-	684,404,898	287,849,157
Cash and cash equivalents	23	264,821,894	159,761,883	130,410,846	38,039,294
		2,940,800,100	2,453,573,669	3,345,122,509	2,473,741,717
Assets classified as held for sale	12	542,280,527	686,920,433	118,710,000	118,710,000
Total current assets		3,483,080,627	3,140,494,102	3,463,832,509	2,592,451,717
Total assets		4,957,988,281	4,382,438,100	4,321,806,951	3,308,251,367
Equity					
Stated capital	24	1,204,093,678	1,204,093,678	1,204,093,678	1,204,093,678
Revaluation reserve		759,505,472	396,044,994	166,427,570	91,930,485
Retained earnings		827,169,987	802,252,703	817,211,861	719,513,871
Equity attributable to the owners of the Company		2,790,769,137	2,402,391,375	2,187,733,109	2,015,538,034
Non-controlling interests		-	-	-	-
Total equity		2,790,769,137	2,402,391,375	2,187,733,109	2,015,538,034
Liabilities					
Non-current liabilities					
Employee benefits	25	25,814,416	20,845,248	25,726,881	20,703,221
Deferred income	26	5,139,398	6,833,830	5,139,398	6,833,830
Deferred tax liabilities	27	4,344,821	38,757,424	-	16,695,137
Total non-current liabilities		35,298,635	66,436,502	30,866,279	44,232,188
Current liabilities					
Trade and other payables	29	2,023,042,346	1,014,105,051	2,002,631,905	996,438,336
Loans and borrowings	28	16,637,105	356,787,151	9,110,338	150,264,960
Amounts due to related companies	22	-	-	-	1,149,259
Current tax liabilities		91,465,320	58,257,382	91,465,320	57,963,934
Bank overdrafts	23	392,062	44,649,340	-	42,664,656
		2,131,536,833	1,473,798,924	2,103,207,563	1,248,481,145
Liabilities classified as held for sale		383,676	439,811,299	-	-
Total current liabilities		2,131,920,509	1,913,610,223	2,103,207,563	1,248,481,145
Total liabilities		2,167,219,144	1,980,046,725	2,134,073,842	1,292,713,333
Total equity and liabilities		4,957,988,281	4,382,438,100	4,321,806,951	3,308,251,367

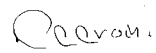
The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

I certify that the financial statements of the Company comply with the requirements of the companies Act No. 07 of 2007.


Mr. Mohamed Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the Board;


Mr. N.G.R Karunaratne
Chairman


Mr. A.P. Weerasekera
Managing Director

1st June 2018

BEYOND THE HORIZON

62. Statement of Changes in Equity

(All amounts in Sri Lankan Rupees)

	Note	Stated Capital	Revaluation Reserve	Retained Earnings	Total
Balance as at 1st April 2016		1,204,093,678	91,930,485	1,187,945,443	2,483,969,606
Profit for the year		-	-	(405,803,783)	(405,803,783)
Other comprehensive income		-	-	2,372,211	2,372,211
Total comprehensive income		-	-	(403,431,572)	(403,431,572)
Total transaction with shareholders directly recorded in equity					
Dividend	14	-	-	(65,000,000)	(65,000,000)
Balance as at 31st March 2017		1,204,093,678	91,930,485	719,513,871	2,015,538,034
Profit for the year		-	-	99,224,897	99,224,897
Other comprehensive income		-	74,497,085	(1,526,907)	72,970,178
Total comprehensive income		-	74,497,085	97,697,990	172,195,075
Total transaction with shareholders directly recorded in equity					
Dividend	14	-	-	-	-
Balance as at 31st March 2018		1,204,093,678	166,427,570	817,211,861	2,187,733,109

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

Consolidated Statement of Changes in Equity .63

(All amounts in Sri Lankan Rupees)

	Note	Stated Capital	Revaluation reserve	Retained earnings	Total	Non controlling interests	Total equity
Balance as at 1st April 2016		1,204,093,678	396,044,994	887,318,486	2,487,457,158	-	2,487,457,158
Profit for the year		-	-	(22,466,479)	(22,466,479)	-	(22,466,479)
Other comprehensive income		-	-	2,400,696	2,400,696	-	2,400,696
Total comprehensive income		-	-	(20,065,783)	(20,065,783)	-	(20,065,783)
Total transaction with shareholders directly recorded in equity							
Dividend	14	-	-	(65,000,000)	(65,000,000)	-	(65,000,000)
Balance as at 31st March 2017		1,204,093,678	396,044,994	802,252,703	2,402,391,375	-	2,402,391,375
Profit for the year		-	-	26,590,897	26,590,897	-	26,590,897
Other comprehensive income		-	363,460,478	(1,673,613)	361,786,865	-	361,786,865
Total comprehensive income		-	363,460,478	24,917,284	388,377,762	-	388,377,762
Total transaction with shareholders directly recorded in equity							
Dividend	14	-	-	-	-	-	-
Balance as at 31st March 2018		1,204,093,678	759,505,472	827,169,987	2,790,769,137	-	2,790,769,137

The notes on form an integral part of these financial statements.
Figures in brackets indicate deductions.

64. Statement of Cash Flow

(All amounts in Sri Lankan Rupees)

	GROUP		COMPANY	
For the year ended 31st March,	2018	2017	2018	2017
Cash flow from operating activities				
Profit/ (loss) before tax from continuing operations	156,039,458	244,104,113	144,051,534	(341,842,493)
Loss before tax from discontinued operations	(63,716,713)	(199,948,384)	-	-
Adjustment for:				
Depreciation	38,049,431	74,605,530	21,193,432	23,875,250
Amortization on intangible assets	400,000	400,000	-	-
Interest income	(5,556,715)	(4,818,639)	(3,141,875)	(2,415,714)
Interest expenses	82,166,470	157,909,143	33,004,279	92,383,536
Provision for impairment of investments in subsidiaries	-	-	-	550,200,000
Provision for impairment of amount due from subsidiaries	-	-	39,300,000	38,930,000
Impairment of property, plant and equipments	-	19,450,888	-	-
Impairment of goodwill	-	5,629,638	-	-
Change in fair value of investment property	-	(63,896,422)	-	-
Gain on disposal of property plant and equipment	(224,864)	(5,122,140)	(140,316)	(5,122,140)
Gain on disposal of investment property	(12,730,500)	-	-	-
Amortisation of deferred income	(1,694,432)	(2,758,554)	(1,694,432)	(2,758,554)
Dividend income	-	-	(36,900,000)	(50,399,998)
Impairment of other receivables	38,490,527	-	38,490,527	-
Impairment of trade receivables	9,893,754	65,185,181	6,039,412	10,573,745
Inventories write off/ adjustments to NRV	(217,699)	26,925,286	-	-
Provision for retirement gratuity	5,167,832	4,849,577	5,129,084	4,785,524
Operating profit before working capital changes	246,066,549	322,515,217	245,331,645	318,209,156
Changes in:				
(Increase)/decrease in inventories	(717,382,863)	327,447,400	(813,339,170)	165,136,030
(Increase)/decrease in trade and other receivables	(97,147,329)	(420,594,697)	(141,053,801)	(350,971,859)
(Increase)/decrease in subsidy receivable	527,409,533	709,691,943	527,409,531	709,691,943
(Increase)/decrease amounts due from related companies	-	-	75,716,004	(62,850,020)
Increase/(decrease) trade and other payables	1,002,175,522	(275,859,189)	1,006,193,569	(238,741,171)
Increase/(decrease) amounts due to related companies	-	-	(1,149,259)	(1,742,852)
Cash generated from operating activities	961,121,412	663,200,674	899,108,519	538,731,227
Interest expense paid	(82,144,734)	(157,909,143)	(33,004,279)	(92,383,536)
Income tax paid	(98,015,715)	(168,378,821)	(93,303,718)	(162,598,475)
Employee benefit paid	(2,523,128)	(1,470,209)	(2,226,128)	(1,470,209)
Net cash flow from / (used in) operating activities	778,437,835	335,442,501	770,574,394	282,279,007
Cash flows from investing activities				
Interest income received	5,556,715	4,818,639	3,141,875	2,415,714
Dividend income received	-	-	36,900,000	50,399,998
Proceeds from disposal of property, plant and equipment	429,416	5,125,700	160,676	5,125,700
Proceeds from disposal of investment property	167,730,500	-	-	-
Acquisition of property, plant and equipment	(27,780,580)	(25,666,282)	(21,118,287)	(23,999,629)
Addition to work in progress	(3,672,904)	-	(1,896,083)	-
Additions to investment property	-	(4,603,578)	-	-
Funds transferred to related companies	-	-	(511,571,745)	-
Net cash used in investing activities	142,263,147	(20,325,521)	(494,383,564)	33,941,783
Cash flows from financing activities				
Proceeds from short term borrowings	2,225,182,810	4,373,643,267	1,513,509,536	2,148,431,858
Repayment of short term borrowings	(2,998,157,356)	(5,031,486,119)	(1,654,664,158)	(2,819,863,040)
Net investment in finance lease liabilities	-	(325,000)	-	-
Dividend paid	-	(65,000,000)	-	(65,000,000)
Net cash from / (used in) financing activities	(772,974,546)	(723,167,852)	(141,154,622)	(736,431,182)
Net cash increase/(decrease) in cash and cash equivalents	147,226,436	(408,050,870)	135,036,208	(420,210,392)
Cash and cash equivalents at the beginning of the year	117,567,630	525,618,500	(4,625,362)	415,585,030
Cash and cash equivalents at 31st March (Note 23)	265,294,066	117,567,630	130,410,846	(4,625,362)

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

Notes to the Financial Statements .65

1. CORPORATE INFORMATION

1.1. Reporting entity

AgStar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 09, Bawa Place, Colombo 8.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2018 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- ⊙ AgStar PLC – Business of importing, blending and marketing of fertilizer products.
- ⊙ AgStar Cropcare (Pvt) Ltd – Business of importing formulating and marketing of chemicals, fertilizers and specialty products.
- ⊙ AgStar Seeds (Pvt) Ltd – Business of producing, trading and marketing of seeds and planting materials.
- ⊙ AgStar Grains (Pvt) Ltd – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- ⊙ Mahaweli Agro Trading (Pvt) Ltd (previously named as Mahaweli Rice Processing Industries (Pvt) Ltd) – Company was carrying out business of procurement, processing and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertilizer.
- ⊙ AgStar Properties (Pvt) Ltd – Set up for property development and construction of warehousing and storage facilities.
- ⊙ AgStar Exports (Pvt) Ltd – Business of exporting agricultural based products.

- ⊙ Prith Seeds (Pvt) Ltd - Business of importing, producing, trading and marketing of seeds and planting materials.

In the opinion of the Board of Directors the parent company undertaking and controlling party is Sierra Holdings (Private) Limited

2. BASIS OF PREPARATION

2.1. Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/ LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2018 were approved and authorised for issue by the Board of Directors on the 1st June 2018. These financial statements include the following components:

- ⊙ a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer page 60;
- ⊙ a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 61;

66. Notes to the Financial Statements

- ⊙ a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 62 to 63;
- ⊙ a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows. Refer page 64;
- ⊙ Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 65 to 113.

2.4. Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except that land & buildings and investment property measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5. Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7. Use of materiality and offsetting

2.7.1 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.7.2 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies of the Company

2.8. Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

2.8.1 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

68. Notes to the Financial Statements

Fair value of financial instruments

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

2.8.2 Impairment of non-financial assets

At each reporting date the management assesses, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the management estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

2.8.3 Useful lives of depreciable assets

Management reviews its estimation of the useful lives of depreciable assets at each reporting date based on the expected utility of the assets. Uncertainties in these estimates relate to technical obsolescence that may change the useful life of certain property, plant and equipment.

2.8.4 Business combinations

Management uses valuation techniques in determining the fair values of the various elements of a business combination. The fair value of contingent consideration is dependent on the outcome of many variables that affect future profitability.

2.8.5 Defined benefit obligation

Management's estimate of the defined benefit obligation is based on a number of critical underlying assumptions such as standard rates of inflation, mortality, discount rate and anticipation of future salary increases. Variation in these assumptions may significantly impact the defined benefit obligation amount and the annual defined benefit expense.

2.8.6 Recognition of deferred tax assets

Management applies significant judgment on the extent to which deferred tax assets can be recognised based on an assessment of the probability of the Group's future taxable income against which the deferred tax assets can be utilised. In addition, significant judgment is required in assessing the impact of any legal or economic limits or uncertainties in various future tax jurisdictions.

2.9. Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements.

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently for all periods presented in the financial statements by the Group and the Company.

3.1. Basis of consolidation

3.1.1. Business combinations and goodwill

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount

(generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

70. Notes to the Financial Statements

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.3. Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non-controlling interests" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.4. Reporting date

All the Group's subsidiaries, has same reporting period as the parent Company, which is 31st March.

3.1.5. Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties

3.1.6. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currencies

3.2.1. Foreign currency transactions

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the reporting currency at the exchange rate that prevailed at the date the fair value was determined.

Foreign currency differences arising on retranslation are recognised in the income statement, except for differences arising on the retranslation of available for

sale equity investments, a financial liability designated as a hedge of the net investment in a foreign operation, or qualifying cash flow hedges, which are recognised in other comprehensive income.

Foreign currency gains and losses are reported on a net basis in the income statement.

3.3 Financial instruments

Financial assets and financial liabilities are recognised when a Group Company becomes a party to the contractual provisions of the instrument.

The classification of financial instruments at initial recognition is dependent on their purpose and characteristics and the management's intention in acquiring them.

Financial instruments are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets or financial liabilities other than financial instruments recognised as fair value through profit and loss, are added to or deducted from the fair value of the financial instruments. Transaction costs, which are insignificant are expensed immediately to the income statement.

3.3.1. Non-derivative financial assets

3.3.1.1 Initial recognition and measurement

Financial assets are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets.

The Group initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets including assets designated at fair value through profit or loss are recognised initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument. The Group determines the classification of its financial assets at initial recognition.

3.3.1.1.1 Financial assets at fair value through profit or loss

A financial asset is recognised at fair value through profit or loss, if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are classified as held for trading if they are acquired for the purpose of trading in the near term. Financial assets at fair value through profit or loss are measured at fair value, and any changes therein, are recognised in the income statement.

Attributable transaction costs of fair value through profit or loss financial assets are recognised in the income statement when incurred.

3.3.1.1.2 Loans and receivables

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are recognised initially at fair value plus any directly attributable transaction costs, if the transaction costs are significant. Subsequent to initial recognition loans and receivables are measured at amortised cost using the effective interest rate method (EIR) less any impairment losses.

Loans and receivables comprise trade and other receivables and amounts due from related companies.

3.3.1.1.3 Held-to-maturity financial assets

If the Group has the positive intent and ability to hold debt securities until maturity, then such financial assets are classified as held-to-maturity. Held-to-maturity financial assets are recognised initially at fair value plus any directly attributable transaction costs if the transaction costs are significant. Subsequent to initial recognition held-to-maturity financial assets are measured at amortised cost using the effective interest method, less any impairment losses.

3.3.1.1.4 Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available for sale or are not classified in any of the previous categories of financial assets. Available-for-sale financial assets are recognised initially at fair value plus any directly attributable transaction costs.

72. Notes to the Financial Statements

Subsequent to initial recognition, they are measured at fair value and any changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments, are recognised in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognised the gain or loss accumulated in equity is reclassified to the income statement.

The Group designates listed and unlisted equity investments that are not held for trading purposes as available-for-sale financial instruments. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold or redeemed in response to needs for liquidity or in response to changes in market conditions.

Dividend income on available for sale quoted and unquoted equity investments are recognised in the income statement.

3.3.1.2 Impairment of financial assets

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that is impaired. A financial asset is impaired if, there is objective evidence as a result of one or more events that has occurred after the initial recognition of the financial asset (an incurred 'loss event') and the estimated future cash flows of the investment have been affected.

3.3.1.2.1 Loans & Receivables

The objective evidence of impairment could include significant financial difficulty of the issuer or counter party, breach of contract such as default in interest or principal payments, or it becomes probable that the borrower will enter bankruptcy or financial reorganisation.

The Group considers impairment of trade receivables at both a specific significant individual debtor level and collectively. Any Group Company which has any individually significant debtors assesses them for specific impairment. All individually insignificant debtors that are not specifically impaired are then collectively assessed for any impairment that has been incurred but not yet

identified by grouping together based on similar risk characteristics. In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred and adjusted for the management's judgment. The carrying amount of the trade receivables is reduced through the use of the bad debt provision account and the amount of the loss is recognised in the income statement. If there is no realistic prospect of future recovery of a debt, the amount is written off.

An impairment loss in respect of other financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the income statement to the extent that the carrying amount of the financial asset at the date the impairment is reversed, does not exceed what the amortised cost would have been had the impairment not been recognised.

3.3.1.2.2 Available for sale

For equity instruments classified as available for sale financial assets a significant or prolonged decline in the fair value of the investment below its cost is considered to be objective evidence of impairment.

Impairment losses of an available-for-sale security investment are recognised by transferring the cumulative loss that has been recognised in other comprehensive income to the income statement as a reclassification adjustment. The cumulative loss that is reclassified from other comprehensive income to the income statement is the difference between the acquisition costs, net of any principal repayment and amortisation, and the current fair value, less any impairment loss previously recognised in the income statement. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement,

the impairment loss is reversed, with the amount of the reversal recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.1.3 De-recognition of financial assets

The Group derecognises a financial asset when;

- The right to receive cash flows from the asset have expired or the entity has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either
- The entity has transferred substantially all the risks and rewards of the asset, or
- The entity has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

On de-recognition of a financial asset, the difference between the carrying amount of the asset or the carrying amount allocated to the portion of the asset transferred and the sum of the consideration received together with receivable and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in the income statement.

3.3.2 Non-derivative financial liabilities

3.3.2.1 Initial recognition and measurement

The Group initially recognises debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated at fair value through profit or loss) are recognised initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

3.3.2.1.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit loss.

Gains or losses on liabilities held for trading are recognised in the income statement.

The Group has not designated any financial liabilities upon initial recognition at fair value through profit or loss.

3.3.2.1.2 Other financial Liabilities

All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities.

All other financial liabilities are recognised initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

3.3.2.2 De-recognition of financial assets and liabilities

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.

3.3.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.3.4 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.4 Assets held for sale and discontinued operations

(i) Assets held for sale

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use.

74. Notes to the Financial Statements

This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

(iii) Discontinued operations

A discontinued operation is a component of the Group's business, the operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

- ⊙ represents a separate major line of business or geographical area of operations;
- ⊙ is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- ⊙ is a subsidiary acquired exclusively with a view to re-sale.

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.5. Property, plant & equipment

3.5.1 Recognition and measurement

Items of property, plant and equipment other than land and buildings, are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition for its intended use, and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land and building owned by it in the statement of financial position at their re-valued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land and building does not change other than by an insignificant amount at each reporting period the Group will revalue such land every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

3.5.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major

components of property, plant and equipment and depreciated separately based on their useful life.

3.5.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably.

The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.5.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	10-15 years
Motor vehicles	5 years
Furniture and fittings	10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Leasehold motor vehicles	4 years
Pallets	5 years
Building fittings	4 years

3.6 Investment properties

3.6.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant and equipment.

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3.7 Leases

3.7.1 Finance leases

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. On initial recognition, the leased assets under property, plant and equipment, is measured at an amount equal to the lower of its fair value and the present value of minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Minimum lease payments under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate interest on the remaining balance of the liability.

3.7.2 Operating leases

Leases where the lessor effectively retains substantially all the risks and rewards of ownership over the assets are classified as operating leases. Payments under operating leases are recognised as an expense in the income statement on a straight-line basis over the term of the lease or any other basis more representative of the time pattern of the benefits derived from the lease.

The initial cost of acquiring a leasehold property treated as an operating lease is recognised as a non-current asset and is amortised over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. The carrying amount of leasehold property is tested for impairment annually.

3.7.3 Determining whether an arrangement contains a lease

At the inception of an arrangement, the Group determines whether such an arrangement is a lease or contains a lease. This will be apparent if the following two criteria are met:

- ⊙ the fulfilment of the arrangement is dependent on the use of a specific asset or assets; and
- ⊙ the arrangement contains a right to use the asset(s).

At the inception or on reassessment of the arrangement,

the Group separates payments and other consideration required by such an arrangement into those in respect of the lease and those for other elements, on the basis of their relative fair values. In respect of a finance lease, if the Group concludes that it is impractical to separate the payments reliably, then an asset and a liability are recognised at an amount equal to the fair value of the underlying asset. Subsequently as payments are made the liability is reduced and imputed finance cost on the liability is recognised using the Group's incremental borrowing rate.

3.8 Intangible assets

3.8.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.8.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.8.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.8.4 Intangible assets recognised by the Group

3.8.4.1 Brand distribution agency

The Company acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co- branding (GSN) to be able to be able to write Seram Agro name on labels and to include its logo.

3.8.4.2 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets.

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.8.4.3 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.7.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.8.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.8.6 De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.8.7 Amortisation

Amortization is recognised in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Brand distribution agency	10 years
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Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

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3.9 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.10 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.10.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value

using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.10.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.11 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.12 Employee benefits

3.12.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.12.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations to pay any additional

amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.12.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.12.3 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans immediately in the other comprehensive income as they occur.

3.13 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.14 Revenue

Group revenue represents sales to customers outside the Group and excludes value added tax.

3.14.1 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being received. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment.

The Group also assesses its revenue arrangements against specific criteria in order to determine if it is acting as principal or agent.

3.14.2 Sale of goods

Revenue from the sale of goods is recognised on accrual basis when the significant risks and rewards of ownership of the goods have been transferred to the buyer.

3.14.3 Interest income

Interest income is recognised as it accrues in the income statement.

3.14.4 Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared.

3.14.5 Rental income

Rental income arising from renting of property, plant and equipment and investment properties is recognised as revenue on a straight-line basis over the term of the lease.

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3.15 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.16 Finance income /(Expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss, and gains on the disposal of interest generating investments whether classified under fair value through profit or loss or available-for-sale financial assets.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.17 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income, and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.18 Income tax expense

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.18.1 Current Tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.18.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities

in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.16.3 Economic service charge

As per the provisions of the Economic Service Charge Act No. 13 of 2006, economic service charge is payable on the liable turnover at specified rates. Economic service charge is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

3.19 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.20 Statement of Cash flows

The statement of cash flows is reported based on the “indirect method”.

3.21 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.22 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group’s control.

Commitments and Contingent liabilities are disclosed in note 31 and 32 to the financial statements.

3.23 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed and adjusted where applicable.

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4. NEW AND AMENDED STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

The Institute of Chartered Accountants of Sri Lanka has issued the following standards which become effective for annual periods beginning after the current financial year. Accordingly these standards have not been applied in preparing these financial statements and the Group plans to apply these standards as and when they become effective.

Accounting Standard	Summary of the Requirements	Possible Impact on Consolidated Financial Statements
SLFRS 9 - Financial Instruments [Effective on or after 1 January 2018 (early adoption permitted)]	SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Classification and Measurement, impairment and hedge accounting. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.	The Group has adopted the new standard on the required effective date and will not restate comparative information. During 2017, the Group has performed a high-level impact assessment of all three aspects of SLFRS 9. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Group in the future. Overall, the Group expects no significant impact on its financial position and equity. Group will implement changes in classification of certain financial instruments. Classification and measurement The Group does not expect a significant impact on its balance sheet or equity on applying the classification and measurement requirements of SLFRS 9. Loans as well as trade receivables are held to collect contractual cash flows and are expected to give rise to cash flows representing solely payments of principal and interest. The Group analysed the contractual cash flow characteristics of those instruments and concluded that they meet the criteria for amortised cost measurement under SLFRS 9. Therefore, reclassification for these instruments is not required. Impairment SLFRS 9 requires the Group to record expected credit losses on all of its debt securities, loans and trade receivables, either on a 12-month or lifetime basis. The Group will apply the simplified approach on all trade receivables. Other adjustments In addition to the adjustments described above, on adoption of SLFRS 9, other items of the primary financial statements such as deferred taxes, assets held for sale and liabilities associated with them will be adjusted as necessary.

Accounting Standard	Summary of the Requirements	Possible Impact on Consolidated Financial Statements
SLFRS 15 - Revenue from Contracts with Customers [Effective on or after 1 January 2018 (early adoption permitted)]	SLFRS 15 establishes a comprehensive framework for determining whether, how much, and when, revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes	The Group has adopted the new standard on the required effective date and is not expected to have material changes to the comparative information. SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. Sale of goods Under SLFRS 15, revenue will be recognised upon satisfaction of performance obligation. The Group expects the revenue recognition to occur at a point in time when control of the asset is transferred to the customer, generally on delivery of the goods
SLFRS 16 - Leases [Effective on or after 1 January 2019 (early adoption permitted)]	SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on balance sheet model similar to the accounting for finance leases under LKAS 17. The objective is to ensure that lessees and lessors provide relevant information in a manner that faithfully represents those transactions. This information gives a basis for the users of financial statements to assess the effect that leases have on the financial position.	In 2018/19, the Group will assess the potential effect of SLFRS 16 on its consolidated financial statements.

84. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

5 SEGMENT INFORMATION

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorized under this.

Processing - This segment includes the items which are further processed at the Company before sold.

	2018			2017		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	1,585,365,695	1,731,654,381	3,317,020,076	1,491,912,587	1,292,986,330	2,784,898,917
Cost of sales	(1,468,700,425)	(1,316,228,513)	(2,784,928,938)	(1,383,640,456)	(885,289,715)	(2,268,930,171)
Gross profit			532,091,138	108,272,131	407,696,615	515,968,746
Unallocated expenses						
Other income			22,425,372			78,918,011
Selling and distribution expenses			(94,580,516)			(95,112,100)
Administrative expenses			(230,615,705)			(211,581,044)
Other expenses			(38,490,527)			(5,629,638)
Operating profit			190,829,762			282,563,976
Net finance costs			(34,790,304)			(38,459,862)
Profit before tax			156,039,458			244,104,114
Income tax expense			(65,731,848)			(76,716,842)
Profit for the year from continuing operations			90,307,610			167,387,272

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

	GROUP		COMPANY	
	2018	2017	2018	2017
6 REVENUE				
Sale of goods	3,317,020,076	2,784,898,917	3,099,884,219	2,624,066,258
	3,317,020,076	2,784,898,917	3,099,884,219	2,624,066,258

Revenue of the Company consist of local sales of fertilizers, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and rice.

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
	Note	2018	2017	2018	2017
7	OTHER INCOME				
Dividend income	7.1	-	-	36,900,000	50,399,998
Change in fair value of investment property		-	63,896,421	-	-
Gain on disposal of property plant and equipment		140,316	5,122,140	140,316	5,122,140
Gain on disposal of investment property		12,730,500	-	-	-
Amortization of deferred income		1,694,432	2,758,554	1,694,432	2,758,554
Used bag sales		5,129,769	6,007,150	5,129,769	6,007,150
Sundry income		2,730,355	1,133,746	1,987,553	10,500
Total of other income		22,425,372	78,918,011	45,852,070	64,298,342

7.1 Dividend income

- Unquoted	-	-	36,900,000	50,399,998
Net dividend income	-	-	36,900,000	50,399,998

		GROUP		COMPANY	
		2018	2017	2018	2017
8	OTHER EXPENSES				
Impairment of goodwill		-	5,629,638	-	-
Provision for impairment of investment in Mahaweli Rice Processing Industries (Pvt) Limited		-	-	-	172,700,000
Provision for impairment of investment in AgStar Grains (Pvt) Limited		-	-	39,300,000	340,000,000
Provision for impairment of due from AgStar Grains (Pvt) Limited		-	-	-	38,930,000
Provision for impairment of investment in AgStar Exports (Pvt) Limited		-	-	-	37,500,000
Impairment of other receivable		38,490,527	-	38,490,527	-
Total		38,490,527	5,629,638	77,790,527	589,130,000

86. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

	Note	GROUP		COMPANY	
		2018	2017	2018	2017
9	NET FINANCE COSTS				
	Finance income				
	Interest income on FCBU	2,374,430	2,364,007	-	-
	Interest income on investment	3,182,285	2,454,632	3,141,875	2,415,714
	Gain on translation of foreign currency	2,711,451	57,543,596	-	51,729,063
	Total finance income	8,268,166	62,362,235	3,141,875	54,144,777
	Finance costs				
	Interest expense on short term loans	39,029,509	98,288,557	32,101,972	90,456,376
	Interest expense on bank overdraft	1,313,506	2,191,999	902,307	1,927,160
	Loss on translation of foreign currency	2,715,455	341,541	2,714,095	-
	Total finance costs	43,058,470	100,822,097	35,718,374	92,383,536
	Net finance costs recognized in profit or loss	(34,790,304)	(38,459,862)	(32,576,499)	(38,238,759)

	Note	GROUP		COMPANY	
		2018	2017	2018	2017
10	PROFIT BEFORE TAX FROM CONTINUING OPERATIONS				
	<i>Stated after charging all expenses including the following :</i>				
	Directors' emoluments	25,406,523	23,018,185	25,406,523	23,018,185
	Auditors' remuneration - Statutory audit	965,000	965,000	450,000	380,000
	Employee benefits	142,756,775	111,657,714	89,902,451	72,746,235
	Depreciation and amortisation	38,449,431	40,178,160	21,193,432	23,875,248
	Impairment loss/(reversal) on inventory	(217,699)	872,923	-	-
	Donations	440,000	-	440,000	-
	Inventory write off	-	25,030,561	-	-
	Trade debtors write off	-	4,446,795	-	-
	Impairment loss/(reversal) on trade receivables	5,337,744	9,331,340	6,039,412	10,573,745
	Legal expenses	8,217,320	22,302,053	4,795,986	20,522,019

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
For the year ended 31st March,	Note	2018	2017	2018	2017
10.1					
Employee benefit expense					
Salaries, wages and other related cost		129,406,245	98,642,359	77,382,781	59,794,933
Contributions to defined contribution plans		8,182,698	8,165,778	7,390,586	8,165,778
Provision for retirement benefit obligations		5,167,832	4,849,577	5,129,084	4,785,524
Total of employee benefit expense		142,756,775	111,657,714	89,902,451	72,746,235
11					
INCOME TAX EXPENSE					
Current tax expense					
Taxation on profit for the year	11.1	124,026,072	172,167,708	123,976,136	169,211,092
Economic Service Charge not recoverable written off		182,952	-	-	-
(Over)/under provision in respect of previous year		(60,213)	1,746,882	-	1,540,124
Withholding tax on dividend paid by subsidiaries		4,100,000	5,955,000	-	-
Deemed dividend tax paid		2,828,968	-	2,828,968	-
Sub-total		131,077,779	179,869,590	126,805,104	170,751,216
Deferred tax expense					
Origination/(reversal) of temporary differences		(65,345,931)	(103,152,748)	(81,978,467)	(106,789,926)
Income tax expense		65,731,848	76,716,842	44,826,637	63,961,290

88. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
For the year ended 31st March,	Note	2018	2017	2018	2017
11.1	Reconciliation between current tax expense and the accounting profit				
Profit/(loss) before taxation - continuing operations		156,039,458	244,104,113	144,051,534	(341,842,493)
Loss before taxation - discontinuing operations		(63,716,712)	(199,948,384)	-	-
Consolidation adjustments		179,896,138	63,694,590	-	-
Adjusted profit before tax		272,218,884	107,850,319	144,051,534	(341,842,493)
Non business income		(221,670,418)	(117,337,596)	(40,182,191)	(52,815,712)
Aggregate allowable expense		(126,448,973)	(123,508,807)	(20,891,498)	(16,257,591)
Aggregate disallowable expense		73,120,052	107,606,573	67,497,606	628,539,412
Subsidy received		527,409,533	709,691,943	527,409,533	709,691,943
Tax exempt profit		(31,287,563)	(33,640,164)	-	-
Tax loss of subsidiaries for the year		184,543,468	286,496,196	-	-
Statutory income / (loss) from business		677,884,983	937,158,464	677,884,984	927,315,559
Non-business income liable to tax		3,731,818	3,045,502	3,302,575	2,415,714
Tax loss claimed during the year		(238,431,360)	(325,405,946)	(238,415,645)	(325,405,946)
Taxable income		443,185,441	614,798,020	442,771,914	604,325,327
Income Tax @ 10%		36,584	24,262	-	-
Income Tax @ 28%		123,989,488	172,143,446	123,976,136	169,211,092
Tax on profit for the year		124,026,072	172,167,708	123,976,136	169,211,092
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		124,026,072	172,167,708	123,976,136	169,211,092
		124,026,072	172,167,708	123,976,136	169,211,092
Tax loss reconciliation:					
Tax loss brought forward		663,254,218	934,878,003	569,250,846	894,656,792
Adjustment to tax loss brought forward		(837,061)	-	(1,447,449)	-
Loss incurred during the year		32,868,479	53,782,161	-	-
Loss utilised during the year		(238,431,360)	(325,405,946)	(238,415,645)	(325,405,946)
Tax loss carried forward		456,854,276	663,254,218	329,387,752	569,250,846
Tax loss reconciliation: Discontinued operations					
Tax loss brought forward		216,102,011	164,285,868	-	-
Adjustment to tax loss brought forward		(237,176)	-	-	-
Loss incurred during the year		22,677,215	51,816,143	-	-
Tax loss carried forward		238,542,050	216,102,011	-	-

Tax losses of AgStar Grains (Pvt) Ltd are not carried forward as the Company enjoys the tax exemption as explained under Note 11.3

(All amounts in Sri Lankan Rupees)

- 11.2** The income tax provision of AgStar PLC and its subsidiaries which are resident in Sri Lanka has been calculated on adjusted profits at 28% in terms of the Inland Revenue Act No. 10 of 2006 and amendments thereto (other than in respect of companies set out in notes 11.3 and 11.4 below.)

Tax status of companies in the Group which are enjoying income tax exemptions/concessionary tax rates are given in note 11.3 and 11.4

11.3 Companies exempt from income tax

Company	Statute	Period
AgStar Properties (Pvt) Ltd	Section 17(A) of the Inland Revenue Act No.10 of 2006	7 years ending 2018/2019
AgStar Grains (Pvt) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

11.4 Companies liable to tax at concessionary rates

Company	Statute	Period
AgStar Exports (Pvt) Ltd	12% under section 50 of Inland Revenue Act No. 10 of 2006	Ended on 31st March 2018
AgStar Properties (Pvt) Ltd	10% for coconut sale	Ended on 31st March 2018

90. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

12 DISCONTINUED OPERATIONS

In March 2017, the Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Pvt) Limited (previously named as Mahaweli Rice Processing Industries (Pvt) Limited) and AgStar Grains (Pvt) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

		GROUP		COMPANY	
For the year ended 31st March,	Note	2018	2017	2018	2017
12.1	Loss after tax from discontinued operations				
Revenue		101,121,067	608,056,590	-	-
Cost of sales		(102,559,593)	(629,968,881)	-	-
Gross loss		(1,438,526)	(21,912,291)	-	-
Other income		151,548	250,740	-	-
Selling and distribution expenses		(1,936,339)	(15,007,383)	-	-
Administrative expenses		(14,113,931)	(33,098,204)	-	-
Provision for impairment of receivables		(4,556,010)	(51,407,046)	-	-
Provision for impairment of inventories		-	(1,894,725)	-	-
Impairment of property, plant and equipments		-	(19,450,888)	-	-
Operating loss		(21,893,258)	(142,519,797)	-	-
Finance income		-	-	-	-
Finance costs		(41,823,455)	(57,428,587)	-	-
Net finance costs		(41,823,455)	(57,428,587)		
Loss before tax from discontinued operations		(63,716,713)	(199,948,384)		
Tax expense:					
Current tax		-	-	-	-
Deferred tax		-	10,094,634	-	-
Loss for the year from discontinued operations		(63,716,713)	(189,853,750)		
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		(63,716,713)	(189,853,750)		
12.2	Major classes of assets and liabilities classified as held for sale				
Assets					
Property, plant and equipment		518,986,235	519,105,735	118,710,000	118,710,000
Inventories		6,837,914	101,918,958	-	-
Trade receivables		15,592,144	63,440,654	-	-
Cash in hand and cash at bank		864,234	2,455,087	-	-
Assets classified as held for sale		542,280,527	686,920,433	118,710,000	118,710,000

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
For the year ended 31st March,	Note	2018	2017	2018	2017
Liabilities					
Loans and borrowings		-	432,824,500	-	-
Trade and other payables		383,676	6,986,799	-	-
Liabilities classified as held for sale		383,676	439,811,299	-	-
Net assets directly associated with disposal group		541,896,851	247,109,134	118,710,000	118,710,000
12.3 Cash flows generated from/(used in) discontinued operations					
Net cash flow from / (used in) operating activities		598,548	(49,664,246)	-	-
Net cash used in investing activities		204,046	(1,600,000)	-	-
Net cash from / (used in) financing activities		-	50,084,400	-	-
Net cash inflow/ (outflow)		802,594	(1,179,846)	-	-
12.4 Deficit per share					
Basic/ diluted deficit per share for the year from discontinued operations		(0.20)	(0.58)	-	-

13 EARNINGS/(DEFICIT) PER SHARE (BASIC/DILUTED)

Basic earnings per share is calculated, based on the net profit attributable to owners of the parent and weighted average number of ordinary shares in issue during the year. Basic earnings for an ordinary share is as follows.

		GROUP		COMPANY	
For the year ended 31st March,		2018	2017	2018	2016
Profit attributable to ordinary shareholders (Rs.)		26,590,897	(22,466,480)	99,224,897	(405,803,783)
Weighted average number of ordinary shares at 31st March		325,000,000	325,000,000	325,000,000	325,000,000
Earnings/(deficit) per share (Rs.)		0.08	(0.07)	0.31	(1.25)

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

		2018	2017
14 DIVIDEND PER SHARE			
Final ordinary dividend paid		-	65,000,000

92. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

15

	Land	Building on lease hold land	Building	Plant and machinery	Motor vehicles
PROPERTY, PLANT AND EQUIPMENT- COMPANY					
Cost / valuation					
Freehold					
Balance as at 1st April 2016	183,800,000	-	150,129,007	96,870,727	14,412,079
Prior year adjustment	(29,300,000)	-	-	-	-
Additions during the year	-	-	1,707,230	2,962,402	13,500,000
Transferred to assets classified as held for sale	(63,800,000)	-	(57,800,000)	-	-
Transferred within inter-companies	-	-	(861,460)	(18,821,134)	-
Transfers	-	21,200,000	(21,200,000)	-	-
Disposals	-	-	-	-	(4,760,725)
Balance as at 31st March 2017	90,700,000	21,200,000	71,974,777	81,011,995	23,151,354
Additions during the year	-	-	435,465	6,135,208	11,670,000
Surplus on revaluation	64,000,000	1,855,000	12,724,285	-	-
Transfers from revaluation adjustment	-	(1,855,000)	(6,331,515)	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	154,700,000	21,200,000	78,803,012	87,147,203	34,821,354
Leasehold					
Balance as at 1st April 2016	-	-	-	-	9,550,000
Disposals	-	-	-	-	(9,550,000)
Balance as at 31st March 2017	-	-	-	-	-
Additions	-	-	-	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	-	-	-	-
Gross carrying amount	154,700,000	21,200,000	78,803,012	87,147,203	34,821,354
Accumulated Depreciation					
Freehold					
Balance as at 1st April 2016	-	-	-	52,248,467	9,730,011
Charge for the year	-	-	7,535,879	8,328,568	3,768,231
Transferred to assets classified as held for sale	-	-	(2,890,000)	-	-
Transferred within inter-companies	-	-	(32,453)	(11,492,941)	-
Transfers	-	1,060,000	(1,060,000)	-	-
Disposals	-	-	-	-	(4,503,183)
Balance as at 31st March 2017	-	1,060,000	3,553,426	49,084,094	8,995,059
Charge for the year	-	1,060,000	3,759,518	7,457,924	4,536,131
Transfers from revaluation adjustment	-	(1,855,000)	(6,331,515)	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	265,000	981,429	56,542,018	13,531,190
Leasehold					
Balance as at 1st April 2016	-	-	-	-	9,550,000
Charge for the year	-	-	-	-	-
Disposals	-	-	-	-	(9,550,000)
Balance as at 31st March 2017	-	-	-	-	-
Charge for the year	-	-	-	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	-	-	-	-
Gross accumulated depreciation	-	265,000	981,429	56,542,018	13,531,190
Net carrying amount as at 31st March 2018	154,700,000	20,935,000	77,821,583	30,605,185	21,290,164
Net carrying amount as at 31st March 2017	90,700,000	20,140,000	68,421,351	31,927,901	14,156,295

Furniture and fittings	Factory equipments	Pallets	Office and computer equipments	Capital work in progress	Total
15,116,406	4,407,785	2,722,402	27,252,208	-	494,710,614
-	-	-	-	-	(29,300,000)
1,091,079	73,185	11,500	4,654,233	-	23,999,629
-	-	-	-	-	(121,600,000)
-	-	-	-	-	(19,682,594)
-	-	-	-	-	-
-	-	-	(23,735)	-	(4,784,460)
16,207,485	4,480,970	2,733,902	31,882,706	-	343,343,189
214,504	-	-	2,663,110	1,896,083	23,014,370
-	-	-	-	-	78,579,285
-	-	-	-	-	(8,186,515)
(55,102)	-	-	(413,000)	-	(468,102)
16,366,887	4,480,970	2,733,902	34,132,816	1,896,083	436,282,227
-	-	-	-	-	9,550,000
-	-	-	-	-	(9,550,000)
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
16,366,887	4,480,970	2,733,902	34,132,816	1,896,083	436,282,227
11,677,802	2,843,360	2,520,898	19,815,591	-	98,836,129
898,806	280,206	137,303	2,926,257	-	23,875,250
-	-	-	-	-	(2,890,000)
-	-	-	-	-	(11,525,394)
-	-	-	-	-	-
-	-	-	(20,175)	-	(4,523,358)
12,576,608	3,123,566	2,658,201	22,721,673	-	103,772,627
905,213	284,075	71,428	3,119,143	-	21,193,432
-	-	-	-	-	(8,186,515)
(34,742)	-	-	(413,000)	-	(447,742)
13,447,079	3,407,641	2,729,629	25,427,816	-	116,331,802
-	-	-	-	-	9,550,000
-	-	-	-	-	-
-	-	-	-	-	(9,550,000)
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
13,447,079	3,407,641	2,729,629	25,427,816	-	116,331,802
2,919,808	1,073,329	4,273	8,705,000	1,896,083	319,950,427
3,630,877	1,357,404	75,701	9,161,033	-	239,570,562

94. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

	Land	Building on lease hold land	Building	Plant and machinery	Motor vehicles
15 PROPERTY, PLANT AND EQUIPMENT - GROUP					
Cost / valuation					
Freehold					
Balance as at 1st April 2016	734,963,000	-	658,139,888	359,835,729	14,837,079
Prior year adjustment	(29,300,000)	-	-	-	-
Additions	-	-	3,186,868	3,101,054	13,500,000
Transferred to assets classified as held for sale	(63,800,000)	-	(295,069,506)	(258,968,894)	(3,730,000)
Transferred (to)/from leasehold	-	21,200,000	(21,200,000)	-	3,305,000
Disposals	-	-	-	-	(4,760,725)
Balance as at 31st March 2017	641,863,000	21,200,000	345,057,250	103,967,889	23,151,354
Additions during the year	-	-	5,996,942	6,143,708	11,670,000
Surplus on revaluation	282,637,000	1,855,000	110,399,831	-	-
Transfers from revaluation adjustment	-	(1,855,000)	(53,365,923)	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	924,500,000	21,200,000	408,088,100	110,111,597	34,821,354
Leasehold					
Balance as at 1st April 2016	-	-	-	-	12,855,000
Transferred to freehold	-	-	-	-	(3,305,000)
Disposals	-	-	-	-	(9,550,000)
Balance as at 31st March 2017	-	-	-	-	-
Additions	-	-	-	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	-	-	-	-
Gross carrying amount	924,500,000	21,200,000	408,088,100	110,111,597	34,821,354
Accumulated depreciation					
Freehold					
Balance as at 1st April 2016	-	-	43,006,441	86,727,475	9,886,502
Charge for the year	-	-	28,608,510	36,262,357	3,853,231
Impairment of property, plant and equipment	-	-	18,531,753	919,135	-
Transferred to assets classified as held for sale	-	-	(41,413,824)	(59,866,457)	(2,959,742)
Transferred (to)/from leasehold	-	1,060,000	(1,060,000)	-	2,718,249
Disposals	-	-	-	-	(4,503,183)
Balance as at 31st March 2017	-	1,060,000	47,672,880	64,042,510	8,995,057
Charge for the year	-	1,060,000	17,846,163	9,707,821	4,536,131
Transfers from revaluation adjustment	-	(1,855,000)	(53,365,923)	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	265,000	12,153,121	73,750,331	13,531,188
Leasehold					
Balance as at 1st April 2016	-	-	-	-	11,607,249
Charge for the year	-	-	-	-	661,000
Transferred to freehold	-	-	-	-	(2,718,249)
Disposals	-	-	-	-	(9,550,000)
Balance as at 31st March 2017	-	-	-	-	-
Charge for the year	-	-	-	-	-
Disposals	-	-	-	-	-
Balance as at 31st March 2018	-	-	-	-	-
Gross accumulated depreciation	-	265,000	12,153,121	73,750,331	13,531,188
Net carrying amount as at 31st March 2018	924,500,000	20,935,000	395,934,979	36,361,266	21,290,166
Net carrying amount as at 31st March 2017	641,863,000	20,140,000	297,384,370	39,925,379	14,156,297

Furniture and fittings	Factory equipments	Pallets	Office and computer equipments	Capital work in progress	Total
17,612,054	4,749,979	2,962,193	30,942,966	404,700	1,824,447,588
-	-	-	-	-	(29,300,000)
1,106,293	73,185	11,500	4,687,381	-	25,666,281
(895,248)	-	(67,891)	(1,976,123)	(404,700)	(624,912,362)
-	-	-	-	-	3,305,000
-	-	-	(23,735)	-	(4,784,460)
17,823,099	4,823,164	2,905,802	33,630,489	-	1,194,422,048
240,716	-	-	3,664,520	3,672,904	31,388,790
-	-	-	-	-	394,891,831
-	-	-	-	-	(55,220,923)
(55,102)	-	-	(413,000)	-	(468,102)
18,008,713	4,823,164	2,905,802	36,882,009	3,672,904	1,565,013,644
-	-	-	-	-	12,855,000
-	-	-	-	-	(3,305,000)
-	-	-	-	-	(9,550,000)
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
18,008,713	4,823,164	2,905,802	36,882,009	3,672,904	1,565,013,644
12,155,677	3,185,555	2,608,169	21,576,658	-	179,146,477
1,180,380	280,206	212,726	3,547,120	-	73,944,530
-	-	-	-	-	19,450,888
(244,866)	-	(43,458)	(1,278,283)	-	(105,806,630)
-	-	-	-	-	2,718,249
-	-	-	(20,175)	-	(4,523,358)
13,091,191	3,465,761	2,777,437	23,825,320	-	164,930,156
1,088,890	284,075	124,094	3,402,257	-	38,049,431
-	-	-	-	-	(55,220,923)
(34,742)	-	-	(413,000)	-	(447,742)
14,145,339	3,749,836	2,901,531	26,814,577	-	147,310,922
-	-	-	-	-	11,607,249
-	-	-	-	-	661,000
-	-	-	-	-	(2,718,249)
-	-	-	-	-	(9,550,000)
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
14,145,339	3,749,836	2,901,531	26,814,577	-	147,310,922
3,863,374	1,073,328	4,271	10,067,433	3,672,904	1,417,702,722
4,731,908	1,357,403	128,365	9,805,169	-	1,029,491,892

96. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

15.1 Information on the land and buildings of the Group

Location	Revalued Date	Extent (Perches)	Building (Square feet)	Cost or revaluation of land	Cost or revaluation of buildings	Total value	Accumulated depreciation	Net book value of the buildings	Total net book value
Continuing operations									
Borella	31st December 2017	16.32	6,460	138,700,000	49,835,465	188,535,465	(651,381)	49,184,084	187,884,084
Bawa Place, Colombo 08									
Dambulla	31st December 2017	63.75	9,812	16,000,000	29,000,000	45,000,000	(362,500)	28,637,500	44,637,500
Ihalakatupotha Watta,									
Pannampitiya Village, Lenadora									
Ekala	31st December 2017	1,419.55	143,040	769,800,000	322,094,450	1,091,894,450	(3,981,054)	318,113,396	1,087,913,396
No.93, Minuwangoda Road, Ekala									
Building on lease hold land									
Polonnaruwa	31st December 2017	-	7,970	-	21,200,000	21,200,000	(265,000)	20,935,000	20,935,000
Ambalamkele									
Discontinued operations									
Anuradhapura	31st March 2016	579.22	21,794	63,800,000	57,800,000	121,600,000	(2,890,000)	54,910,000	118,710,000
Puliyankulama									
Anuradhapura	31st March 2017	-	38,340	-	142,122,550	142,122,550	-	142,122,550	142,122,550
Puliyankulama									
Building on lease hold land									
Sandunpura, Dehiattakandiya	-	-	41,600	-	68,912,677	68,912,677	(12,289,541)	56,623,136	56,623,136

The lands and buildings at Borella, Anuradapura and Dambulla belong to AgStar PLC. The land and building at Ekala belong to AgStar Properties (Private) Limited which is a fully own subsidiary of AgStar PLC, having a land extent of 08A.6R.29P bearing Assessment No.93, Minuwangoda road, Ekala, which has been valued by an Independent valuer Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value as at 31st December 2017. The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16.

15.2 The carrying amount of revalued land and buildings if they were carried at cost less depreciation, would be as follows;

GROUP	
	2018
As at 31st March	
Cost	884,305,549
Accumulated depreciation	(73,212,172)
Carrying value	811,093,377

15.3 Property, plant and equipment as at 31st March 2018 includes fully depreciated assets having a gross carrying amount (cost) of Rs. 47 Mn (2017- 46 Mn) that are still in use.

15.4 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities, that are measured at fair value.

Fair value measurement hierarchy

31st March 2018	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,341,369,980	1,341,369,980
Investment properties	-	-	-	-
	-	-	1,341,369,980	1,341,369,980
31st March 2017	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	959,387,370	959,387,370
Investment properties	-	-	155,000,000	155,000,000
	-	-	1,114,387,370	1,114,387,370

Assets and liabilities measured at fair value

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Borella	- Market comparable method & depreciated replacement cost	Rs. 8,500,000	Rs. 8,500	Positive
Dambulla	- Contractors method	Rs. 300,000	Rs. 3,500 - Rs. 4,750	Positive
Ekala	- Contractors method	Rs. 500,000	Rs. 2,750 - Rs. 5,750	Positive
Building on lease hold land				
Polonnaruwa	- Contractors method	-	Rs. 3,250 - Rs. 3,750	Positive

98. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
For the year ended 31st March,		2018	2017	2018	2017
16	INTANGIBLE ASSETS				
16.1	Trade mark				
	Balance at the beginning of the year	1,000,000	1,400,000	-	-
	Amortisation	(400,000)	(400,000)	-	-
	Balance as at end of the year	600,000	1,000,000	-	-
16.2	Goodwill on acquisition				
	Balance at the beginning of the year	56,425,992	62,055,630	-	-
	Impairment during the year	-	(5,629,638)	-	-
	Balance as at end of the year	56,425,992	56,425,992	-	-
	Net carrying amount as at 31st March	57,025,992	57,425,992	-	-

Trade mark

During the year ended 31st March 2015, AgStar Seeds (Pvt) Ltd acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West France and the Company was granted the right inter alia of the exclusivity of the brand GSN in the whole Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co- branding (GSN) to be able to write Seram Agro name on labels and to include its logo.

Goodwill on acquisition (unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below;

Business growth – Based on the long term average growth rate for each business unit.

The weighted average growth rate used is consistent with the forecast included in industry reports.

Inflation – Based on current inflation rate and

Discount rate – Risk free rate adjusted by adding appropriate risk premium

Gross margin – Based on past performance and budgeted expectations.

(All amounts in Sri Lankan Rupees)

	GROUP		COMPANY	
	2018	2017	2018	2017
For the year ended 31st March,				
17 INVESTMENT PROPERTY				
Balance at the beginning of the year	155,000,000	86,500,000	-	-
Additions during the year	-	4,603,578	-	-
Disposals during the year	(155,000,000)	-	-	-
Change in fair value	-	63,896,422	-	-
Balance as at 31st March	-	155,000,000	-	-

- 17.1** Investment property was appraised in accordance with LKAS 40, by a qualified independent valuer, who holds recognised and relevant professional qualifications and has recent experience in the location and category of the revalued properties on the basis of current market value method of valuation. In determining the fair value, the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also the valuer has made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values. However the investment property was disposed during the year under review.

17.2 Valuation details of investment property

Location	Company	Valuer	Extent	Date of valuation	Fair Value
Korathota - Land	AgStar Properties (Pvt) Ltd	Sarath G.Fernando (Incorporated Valuer)	04A.2R.27.90P	31st March 2017	155,000,000

	Company/Group holding		No o shares		Cost As at 31st March	
	2018	2017	2018	2017	2018	2017
18 INVESTMENTS IN SUBSIDIARIES						
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Properties (Pvt) Ltd.	100%	100%	35,000,000	35,000,000	350,000,000	350,000,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
			103,060,000	103,060,000	1,026,429,088	1,026,429,088
Provision for fall in value of investments (Note 18.1)					(550,200,000)	(550,200,000)
					476,229,088	476,229,088

- 18.1** The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs.172.7 million, Rs.340 million and Rs 37.5 million respectively.

100. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
19	DEFERRED TAX ASSETS				
19.1	Movement in deferred tax assets				
	Balance at the beginning of the year	26,114	99,871	-	-
	Origination/ (reversal) of temporary differences	152,826	(73,757)	-	-
	Balance as at 31st March	178,940	26,114	-	-
19.2	Composition of deferred tax assets				
	Deferred tax attributable to:				
	Property, plant and equipment	31,827	26,114	-	-
	Provision for bad debts	147,113	-	-	-
	Net deferred tax assets	178,940	26,114	-	-

19.3 Unrecognised deferred tax assets

Deferred tax assets have not been recognised in respect of the tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
	AgStar Cropcare (Pvt) Ltd	26,129,650	4,981,805	-	-
	AgStar Exports (Pvt) Ltd	49,179,818	43,963,883	-	-
	AgStar Seeds (Pvt) Ltd	73,594,256	70,906,207	-	-
	Prith Seeds (Pvt) Ltd	3,201,672	-	-	-
	Mahaweli Agro Trading (Pvt) Ltd	238,542,050	216,102,011	-	-

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
20	INVENTORIES				
	Reconciliation of inventories				
	Raw materials and consumables	1,664,238,489	853,196,994	1,641,246,354	829,596,700
	Finished goods	71,766,613	67,870,569	7,317,615	5,628,099
	Goods in transit	-	2,473,632	-	-
		1,736,005,102	923,541,195	1,648,563,969	835,224,799
	Provision for impairment of inventories	(655,224)	(872,923)	-	-
		1,735,349,878	922,668,272	1,648,563,969	835,224,799

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
As at 31st March,	Note	2018	2017	2018	2017
21	TRADE AND OTHER RECEIVABLES				
Trade receivables		971,658,573	909,524,885	856,085,603	744,470,583
Taxes recoverable	21.1	23,646,193	20,182,306	15,922,866	10,751,109
Other receivables		48,748,323	9,681,282	38,490,527	-
Deposits and prepayments		26,344,377	16,251,125	21,007,080	13,195,333
Rent paid in advance		-	-	16,000,000	64,000,000
Subsidy receivable	21.2	9,123,630	536,533,163	9,123,630	536,533,163
Advances		64,962,700	30,396,312	64,962,700	30,396,312
Staff loan		16,492,169	25,093,807	16,492,169	25,093,807
Sub Total		1,160,975,965	1,547,662,880	1,038,084,575	1,424,440,307
Provision for impairment of trade receivables	21.3	(172,175,828)	(166,838,084)	(117,851,252)	(111,811,840)
Provision for impairment of other receivables		(48,171,809)	(9,681,282)	(38,490,527)	-
Total of trade and other receivables		940,628,328	1,371,143,514	881,742,796	1,312,628,467
21.1	Taxes recoverable				
Income tax recoverable		2,756,242	3,435,752	-	-
Withholding tax recoverable		401,834	171,534	401,834	171,534
Economic service charge recoverable		17,930,157	12,075,448	15,521,032	10,579,575
Value added tax recoverable		2,330,368	4,273,412	-	-
Nation building tax recoverable		227,592	226,160	-	-
Total tax recoverable		23,646,193	20,182,306	15,922,866	10,751,109
21.2	Subsidy receivable				
Balance at the beginning of the year		536,533,163	1,246,225,106	536,533,163	1,246,225,106
Additions during the year		-	81,600,652	-	81,600,652
Receipt during the year		(527,409,533)	(791,292,595)	(527,409,533)	(791,292,595)
Balance at end of the year		9,123,630	536,533,163	9,123,630	536,533,163
21.3	Provision for impairment of trade receivables				
Balance at the beginning of the year		166,838,084	131,803,073	111,811,840	101,238,095
Provision/ (reversal) during the year		5,337,744	36,968,008	6,039,412	10,573,745
Write-offs		-	(1,932,997)	-	-
Balance at end of the year		172,175,828	166,838,084	117,851,252	111,811,840

102. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
As at 31st March,	Note	2018	2017	2018	2017
22	RELATED PARTY RECEIVABLES AND PAYABLES				
22.1	Amount due from related companies				
AgStar Cropcare (Pvt) Ltd.		-	-	51,428,732	18,172,476
AgStar Seeds (Pvt) Ltd.		-	-	4,289,999	1,477,718
AgStar Properties (Pvt) Ltd.		-	-	30,873,368	152,388,512
AgStar Grains (Pvt) Ltd.		-	-	388,443,678	44,206,387
Mahaweli Agro Trading (Pvt) Ltd.		-	-	169,668,279	-
AgStar Exports (Pvt) Ltd.		-	-	116,797,504	110,269,960
Prith Seeds (Pvt) Ltd.		-	-	1,133,338	264,104
		-	-	762,634,898	326,779,157
Provision for receivable from AgStar Grains (Pvt) Ltd.		-	-	(78,230,000)	(38,930,000)
		-	-	684,404,898	287,849,157
22.2	Amounts due to related companies				
AgStar Seeds (Pvt) Ltd.		-	-	-	-
Mahaweli Agro Trading (Pvt) Ltd.		-	-	-	1,149,259
Balance at end of the year		-	-	-	1,149,259

		GROUP		COMPANY	
As at 31st March,	Note	2018	2017	2018	2017
23	CASH AND CASH EQUIVALENTS				
Short term deposits	23.1	20,051,782	28,551,782	20,051,782	20,051,782
Cash in hand		757,365	594,257	400,865	434,257
Cash at Bank		244,012,747	130,615,844	109,958,199	17,553,255
Cash and cash equivalents in the statements of financial position		264,821,894	159,761,883	130,410,846	38,039,294
Bank overdraft for cash management purposes		(392,062)	(44,649,340)	-	(42,664,656)
Cash and cash equivalents classified as held for sale		864,234	2,455,087	-	-
Cash and cash equivalents for the purpose of cash flow statements		265,294,066	117,567,630	130,410,846	(4,625,362)
23.1	Short term deposits				
Fixed deposits - HNB		20,051,782	20,051,782	20,051,782	20,051,782
Investment in reverse repo		-	8,500,000	-	-
		20,051,782	28,551,782	20,051,782	20,051,782

(All amounts in Sri Lankan Rupees)

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	Paripasu mortgage bond

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COMPANY		
As at 31st March,	2018	2017
STATED CAPITAL		
Stated capital	1,204,093,678	1,204,093,678
Issue and fully paid Ordinary shares	325,000,000	325,000,000

The holders of ordinary shares are entitled to receive dividend as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote for share in the case of a poll.

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25.1

GROUP			COMPANY	
As at 31st March,	2018	2017	2018	2017
EMPLOYEE BENEFITS				
Movement in net defined benefit obligation				
Balance at the beginning of the year	20,845,248	20,800,180	20,703,221	20,682,644
Include in profit or loss				
Current service cost	2,679,289	2,554,202	2,644,697	2,510,433
Interest cost	2,488,543	2,295,375	2,484,387	2,275,091
	5,167,832	4,849,577	5,129,084	4,785,524
Include in other comprehensive income				
Actuarial loss/(gain)	2,324,464	(3,334,300)	2,120,704	(3,294,738)
	28,337,544	22,315,457	27,953,009	22,173,430
Benefit paid	(2,523,128)	(1,470,209)	(2,226,128)	(1,470,209)
Balance at end of the year	25,814,416	20,845,248	25,726,881	20,703,221

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2018. The actuarial present value of the promised retirement benefit as at 31st March 2018 amounted to Rs.25,814,416/- (2017- Rs.20,845,248/-) for the Group and Rs.25,726,881 (2017- Rs.20,703,221) for the Company. The liability is not externally funded.

104. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
		2018	2017	2018	2017
25.2	Defined benefit obligation				
	<i>Actuarial assumptions</i>				
	Discount rate	10.5%	12%	10.5%	12%
	Future salary growth	9%	9%	9%	9%
	It is also assumed that the Company will continue in business as a going concern				
	Retirement age	55 years	55 years	55 years	55 years

Mortality A 66/70 mortality table issued by the Institute of Actuaries, London

25.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

GROUP	31-MAR-18		31-MAR-17	
	Rs.	Rs.	Rs.	Rs.
	1% increase	1% decrease	1% increase	1% decrease
Discount rate (1% movement)	(851,833)	924,258	(834,379)	606,576
Future salary growth (1% movement)	825,486	(772,613)	541,278	(783,498)

		GROUP		COMPANY	
		2018	2017	2018	2017
26	DEFERRED INCOME				
	Balance at the beginning of the year	6,833,830	6,349,925	6,833,830	6,349,925
	Additions during the year	-	3,242,459	-	3,242,459
	Recognised during the year	(1,694,432)	(2,758,554)	(1,694,432)	(2,758,554)
	Balance as at end of the year	5,139,398	6,833,830	5,139,398	6,833,830

Deferred income represents the gain on disposal of motor vehicles to staff for loan consideration. The deferred income is amortised to profit or loss over the period when the corresponding loan due from staff is charged to profit or loss as an employee benefit.

(All amounts in Sri Lankan Rupees)

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
27	DEFERRED TAX LIABILITIES				
27.1	Movement in deferred tax liabilities				
	Balance at the beginning of the year	38,757,424	151,164,190	16,695,137	122,562,536
	Origination/(reversal) of temporary differences recognised in statement of profit or loss				
	Continuing operations	(65,193,106)	(103,245,736)	(81,978,467)	(106,789,926)
	Discontinued operations	-	(10,094,634)	-	-
	Origination/(reversal) of temporary differences recognised in other comprehensive income				
	Deferred tax on revaluation surplus	31,431,353	-	4,082,200	-
	Deferred tax on actuarial gain/(loss)	(650,850)	933,604	(593,797)	922,527
	Balance at the end of the year	4,344,821	38,757,424	(61,794,927)	16,695,137
27.2	Composition of deferred tax				
	Property, plant and equipment	(102,843,074)	(53,720,597)	(36,518,493)	(31,658,309)
	Subsidy receivable	(2,554,616)	(150,229,286)	(2,554,616)	(150,229,286)
		(105,397,690)	(203,949,883)	(39,073,109)	(181,887,595)
	Retirement benefit obligation	7,228,037	5,796,903	7,203,527	5,796,903
	Tax losses carried forward	92,228,571	159,395,555	92,228,571	159,395,555
	General provision for bad debts	1,596,261	-	1,435,938	-
		101,052,869	165,192,458	100,868,036	165,192,458
		(4,344,821)	(38,757,424)	61,794,927	(16,695,137)

- 27.3** The new Inland Revenue Act No. 24 of 2017 was certified on 24th October 2017 and is effective from 1st April 2018. Accordingly, deferred tax for the year ended 31st March 2018 has been computed based on rates applicable post 1st April 2018. Uncertainties exist with respect to the interpretation of complex tax regulations and the amount and timing of future taxable income. When the final tax outcome of such matters is different from the amounts initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

The management is of the opinion that the land held by the Group is an investment asset as per the definition contained in Section 195 of the Inland Revenue Act No. 24 of 2017. Consequently, the Group would be liable for income tax on disposal of land, on the gain on realization after 30th September 2017. No deferred tax liability was provided in the financial statements as the management has ascertained that the fair value as at 30th September 2017 is not materially different to the fair value as at 31st March 2018.

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
28	LOANS AND BORROWINGS				
	Current liabilities				
	Term loans	16,637,105	356,787,151	9,110,338	150,264,960
	Finance lease obligations	-	-	-	-
		16,637,105	356,787,151	9,110,338	150,264,960

106. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

28.1 Terms and repayment schedule

The terms and conditions of outstanding loans as follows.

				31st March 2018		31st March 2017	
	Currency	Nominal interest rate	Year of maturity	Face value	Carrying amount	Face value	Carrying amount
Secured bank loan	LKR	AWPLR+2%	-	16,637,105	16,637,105	356,787,151	356,787,151
				16,637,105	16,637,105	356,787,151	356,787,151

		GROUP		COMPANY	
As at 31st March,		2018	2017	2018	2017
28.2	Loan movement during the year				
	Balance at the beginning of the year	356,787,151	1,034,240,777	150,264,960	821,696,142
	Obtained during the year	2,225,182,810	2,998,402,993	1,513,509,536	2,148,431,858
	Repayment during the year	(2,565,332,856)	(3,675,856,619)	(1,654,664,158)	(2,819,863,040)
	Balance at the end of the year	16,637,105	356,787,151	9,110,338	150,264,960
29	TRADE AND OTHER PAYABLES				
	Trade payables	1,835,894,637	788,388,298	1,824,862,857	780,839,262
	Other payables	186,987,709	225,556,753	177,609,048	215,439,074
	Advance received	160,000	160,000	160,000	160,000
	Total of trade and other payables	2,023,042,346	1,014,105,051	2,002,631,905	996,438,336

30 RELATED PARTY DISCLOSURES

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries, other group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 11.

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2018.

(All amounts in Sri Lankan Rupees)

30.1 Transactions with subsidiaries

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2018	Balance due (to)/ from as at 31/3/2017
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Funds transferred	7,000,000	51,428,732	18,172,476
		Funds received	(14,300,000)		
		Cropcare Sales	(2,233,175)		
		Fertilizer Sales	15,878,638		
		Expenses incurred by parent	4,867,193		
		Salaries and allowance	22,451,917		
		Set off against customer deposits	(408,317)		
AgStar Exports (Pvt) Ltd	Subsidiaries	Funds transferred	200,000	116,797,504	110,269,960
		Expenses incurred by parent	1,701,160		
		Salaries and allowance	4,626,384		
AgStar Grains (Pvt) Ltd	Subsidiaries	Funds received	(11,239,329)	388,443,678	44,206,387
		Funds transferred	344,121,745		
		Salaries and allowance	10,909,783		
		Expenses incurred by parent	445,092		
AgStar Properties (Pvt) Ltd	Subsidiaries	Funds received	(123,400,000)	30,873,368	152,388,512
		Dividend received			
		Expenses incurred by parent	3,287,808		
		Capital expense transfer	6,757,048		
		VAT and NBT - Ekala building	(8,160,000)		
AgStar Seeds (Pvt) Ltd	Subsidiaries	Settlement of expenses received	(10,771,083)	4,289,999	1,477,718
		Expenses incurred by parent	882,504		
		Salaries & Allowance	12,700,860		
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Funds received	(3,401,704)	169,668,279	(1,149,259)
		Expenses incurred by parent	384,766		
		Salaries and allowance	6,384,476		
		Funds transfer	167,450,000	29,805,982	-
		Fertilizer Sales	71,943,332		
		Receipts	(42,137,350)		
Prith Seeds (Pvt) Limited	Subsidiaries	Settlements of expenses	(2,289,147)	1,133,338	264,104
		Expenses incurred by parent	3,158,381		

108. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

31 COMMITMENTS

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

AgStar Properties (Pvt) Ltd.

During the year under review, it was resolved by the Board to construct an additional 75,000sq.ft. of warehousing space in Ekala. The discussions are still at the initial stages and the development costs are yet to be decided and approved by the Board.

Financial Commitments

Documentary credit effected for foreign purchases as at 31st March 2018 Rs.82,129,560/-. (2017 - Rs.249,253,200/-)

32 CONTINGENT LIABILITIES

The final award on arbitration by the International Chamber of Commerce, Singapore on the action instituted against the Company by ADM Pacific Trading Pte Ltd (the petitioner) was made on 23rd April 2014. Accordingly, the Company was liable to pay the petitioner the loss claimed, reimbursable legal cost and interest cost. A sum of Rs. 146,201,809/- was provided in the financial statements in previous years in respect of the loss claimed and other reimbursable legal costs. The petitioner instituted legal action in the Commercial High Court of Colombo during the year 31st March 2017 to enforce the Arbitration Award and recover interest costs. In the absence of the determination by Court, the Company is not in a position to quantify the interest cost payable and no provision has been made for any interest payable in the financial statements. Based on the information currently available the management is of the view that there would not be an additional material adverse impact on the financial statements other than those disclosed above.

(All amounts in Sri Lankan Rupees)

32.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	25,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000

32.2 Bank Guarantees

Lanka Phosphate Limited	Local supplies	Commercial	11,000,000
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33 EVENTS OCCURRING AFTER THE REPORTING DATE

The Directors have recommended a final dividend payment of Rs. 0.10 per share for the year ended 31st March 2018 to be approved at the Annual General Meeting.

In compliance with Sri Lanka Accounting Standard (LKAS-10) the final dividend recommended is not recognised as a liability in the financial statements as at 31st March 2018.

There were no material events that occurred after the reporting date that require adjustment to or disclosure in the financial statements

34 COMPARATIVE INFORMATION

The comparative information has been restated according to the current year classification wherever necessary, to ensure comparability and better presentation.

110. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

35 FINANCIAL INSTRUMENTS

(a) The following tables shows the carrying amounts of financial assets and financial liabilities,

35.1 Accounting classification and fair values of financial instruments

Company	Note	Loans and receivables	Other financial liabilities	Total carrying amount
As at 31st March 2018				
Financial assets not measured at fair value				
Trade and other receivables*	21	763,850,150		763,850,150
Amounts due from related companies	22	684,404,898		684,404,898
Cash and cash equivalents	23	-	-	130,410,846
		1,448,255,048	-	1,578,665,894
Financial liabilities not measured at fair value				
Trade and other payables**	29		2,002,471,905	2,002,471,905
Loans and borrowings	28		9,110,338	9,110,338
Bank overdraft		-	2,011,582,243	2,011,582,243
As at 31st March 2017				
Financial assets not measured at fair value				
Trade and other receivables*	21	1,194,285,713	-	1,194,285,713
Amounts due from related companies	22	287,849,157	-	287,849,157
Cash and cash equivalents	23	-	-	38,039,294
		1,482,134,870	-	1,520,174,164
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	996,278,336	996,278,336
Loans and borrowings	28	-	150,264,960	150,264,960
Amounts due to related companies	22		1,149,259	1,149,259
Bank overdraft	23	-	42,664,656	42,664,656
		-	1,190,357,211	1,190,357,211

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs.117,892,645 (2017 - Rs. 118,342,754) have been excluded as they are not financial instruments

** Advances amounting to Rs.160,000 (2017 - Rs. 160,000) have been excluded as it is not a financial instrument.

- The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

- For loans and receivable and other financial liabilities the value based on amortised cost is not significantly different from the carrying value stated above.

(All amounts in Sri Lankan Rupees)

35.2 Accounting classification and fair values of financial instruments

Group	Note	Loans and receivables	Other financial liabilities	Total carrying amount
As at 31st March 2018				
Financial assets not measured at fair value				
Trade and other receivables*	21	825,675,058	-	825,675,058
Cash and cash equivalents	23	-	-	265,686,128
		825,675,058	-	1,091,361,186
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	2,022,882,346	2,022,882,346
Loans and borrowings	28	-	16,637,105	16,637,105
Bank overdraft	23	-	392,062	392,062
		-	2,039,911,513	2,039,911,513
As at 31st March 2017				
Financial assets not measured at fair value				
Trade and other receivables*	21	1,304,313,771	-	1,304,313,771
Cash and cash equivalents	23	-	-	162,216,970
		1,304,313,771	-	1,466,530,741
Financial liabilities not measured at fair value				
Trade and other payables**	29	-	1,013,945,051	1,013,945,051
Loans and borrowings	28	-	356,787,151	356,787,151
Bank overdraft	23	-	44,649,340	44,649,340
		-	1,415,381,542	1,415,381,542

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs.114,953,270 (2017 - Rs. 66,829,743) have been excluded as they are not financial instruments

** Advances amounting to Rs.160,000 (2017 - Rs. 160,000) have been excluded as it is not a financial instrument.

- The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

- For loans and receivable and other financial liabilities the value based on amortised cost is not significantly different from the carrying value stated above.

112. Notes to the Financial Statements

(All amounts in Sri Lankan Rupees)

36 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The use of financial instruments has an inherent risk due to changes in a myriad variables that reflect market conditions. Unmanaged risks can lead to undesirable outcomes where the Group is unable to achieve its financial objectives and falls short of budgeted targets. The financial risk management strategy of the Group endeavours to minimise the risks associated with the use of financial instruments by establishing a number of policies and guidelines that are followed throughout the Group. The Group periodically reviews and updates these policies to ensure that they are kept relevant in today's fast changing market conditions.

In this part of the report we would be covering the financial impact that would arise from market risk, credit risk and liquidity risk, the most important elements of the financial risk that the Group is subject to.

36.1 Market risk

The market risk occurs due to the actual cashflow originating from a financial instrument being different to the expected cashflow. This anomaly could occur due to the impact of external factors such as fluctuations in market interest rates and exchange rates. Market risk could possibly result in the revenues and expenses of the Group being adversely affected thereby impacting the profit attributable to the shareholders. In order to identify, manage and minimise the market risk the Group has put into practice a number of policies and procedures.

36.1.1 Currency risk

The currency risk arises when a financial transaction is denominated in a currency other than that of the reporting currency of an entity. Transaction exposure arises where there are contracted cashflows (receivables and payables) whose values are subject to unanticipated changes in exchange rates due to the contract being denominated in a foreign currency.

The Group transacts mainly in United States Dollar (USD) other than the functional reporting currency. Therefore the Group is exposed to currency risk on revenue generation, expenses and borrowings. The finance division monitors foreign exchange markets on a continuous basis and advises on appropriate risk mitigating strategies.

Significant movement in exchange rates during the year ended 31st March 2018

	Highest Level		Lowest Level		Spread	Year end rate
	Rate	Date	Rate	Date		
USD/LKR	156.16	Mar-18	151.16	Apr-17	5	155.97

36.1.2 Interest rate risk

Changes in market interest rates result in the fluctuation of present values of future cash flows derived from financial instruments thereby giving rise to interest rate risk.

These financial instruments are subject to interest rate risk depending on the volatility of market interest rates. Liabilities with variable interest rates such as AWPLR linked borrowings would expose the Group to cashflow risk as the amount of interest paid would change depending on market interest rates. Investments with fixed interest rates would expose the Group to variations in fair values in the process of marking to market of portfolios. It is important for the Group to maintain these variations within acceptable limits to ensure the predictability and consistency of reported results.

(All amounts in Sri Lankan Rupees)

Appropriate interest rate risk management strategies are used by the finance division to manage the interest rate risk. Close monitoring of market trends is carried out to improve the accuracy of such decisions.

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Significant movement in interest rates during the year ended 31st March 2018

Highest Level	Lowest Level		Spread		Year end rate	
	Rate	Date	Rate	Date		
LKR Interest rate *	7.25%	Mar-2018	7.00%	Apr-17	0.25%	7.25%

*One year Government Treasury bill rate

36.1.3 Equity price risk

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from LKAS 32 and 39 - Financial Instruments.

36.2 Liquidity risk

Liquidity refers to the availability of cash or assets which can be converted to cash in a short period of time in order to meet future liabilities of a business. An entity would require sufficient funds for a number of purposes such as operational requirements, debt servicing and investments. Additionally, a shortage of liquidity would have a negative impact on stakeholder confidence in a business entity. The Group has ensured that it maintains sufficient liquidity reserves to meet all its funding requirements by closely monitoring and forecasting future funding needs and securing funding sources for both regular and emergency requirements.

Management of working capital by shortening the working capital cycle is given a high priority by the Group. The finance head do constantly monitor the adequacy of working capital of the SBUs and take corrective action when necessary. Special attention has been given to cash inflows and outflows both at a consolidate and SBU levels. The maturity profile of the Group's investments is monitored and adjusted to meet expected future cash outflows in the short, medium and long terms.

Funding requirements of the sectors and consolidated levels are evaluated at regular intervals by analysing business expansion strategies. The Group has adopted a conservative investment strategy in order to preserve the scarce capital. At opportune moments funds are mobilised by accessing capital markets and the Group ensures that future interest expenses are minimised on borrowings by negotiating attractive interest rates with the respective lenders.

36.3 Credit risk

Credit risk refers to the risk borne by the Group owing to the risk of a counter party defaulting on its contractual obligations in relation to a financial instrument or customer contract. The Group is exposed to credit risk from its operating activities and from its financing activities, including deposits with banks, foreign exchange transactions and other financial instruments. The maximum credit risk of the Group and the Company is limited to the carrying value of these financial assets as at the reporting date.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

114. Decade at a Glance

(All amounts in Sri Lankan Rupees)

31st March

Rs.'000	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009
OPERATING RESULTS										
Group Revenue	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717	1,757,847	1,805,149	2,918,609	2,337,500	1,582,805
Net Finance Expense	(34,790)	(38,460)	2,912	(110,695)	(230,675)	(100,275)	(54,396)	(37,836)	(33,858)	(52,225)
Profit Before Tax	156,039	244,104	363,440	332,676	58,399	287,031	289,452	287,607	215,625	92,340
Tax Expense	(65,732)	(76,717)	(126,023)	(119,701)	(29,001)	(69,482)	(79,211)	(54,636)	(86,431)	(32,931)
Profit After Tax (continuing Operations)	90,308	167,387	237,417	212,975	29,398	217,549	210,241	232,971	129,194	59,409
Profit After Tax (Discontinued Operations)	(63,717)	(189,853)	(290,293)	-	-	-	-	-	-	-
Attributable To:										
Equity Holders of the parent	26,591	(22,466)	(52,876)	217,681	42,878	217,552	210,241	232,971	129,194	59,409
Non Controlling Interest	-	-	-	(5,088)	(13,480)	(3)	-	-	-	-
	26,591	(22,466)	(52,876)	212,593	29,398	217,549	210,241	232,971	129,194	59,409
FINANCIAL POSITION										
Stated Capital	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	204,094	204,094	114,766
Reserves	1,586,675	1,198,298	1,283,362	1,316,551	875,680	868,234	619,219	409,364	148,953	120,563
	2,790,769	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328	1,823,313	613,458	353,047	235,329
Non Controlling Interest	-	-	-	-	21,117	34,597	-	-	-	-
Net Assets	2,790,769	2,402,392	2,487,456	2,520,645	2,100,891	2,106,925	1,823,313	613,458	353,047	235,329
Non Current Liabilities	35,299	66,436	178,314	229,502	288,566	276,105	206,130	142,757	94,321	11,475
	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215	447,368	246,804
Represented By:										
Property Plant & Equipment (PPE)	1,417,703	1,029,492	1,041,158	929,074	1,212,319	948,891	228,424	131,956	77,078	56,410
Non Current Assets (Excluding PPE)	57,205	212,451	150,056	76,687	5,849	5,696	96	145	703	842
Current Assets	3,483,081	3,140,494	4,292,951	4,367,607	3,351,805	3,445,393	3,922,160	1,892,915	1,293,160	767,322
Current Liabilities	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)	(2,016,950)	(2,121,237)	(1,268,801)	(923,572)	(577,770)
Net Current Assets	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289	1,428,443	1,800,923	624,114	369,588	189,552
	2,826,068	2,468,827	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215	447,369	246,804
KEY INDICATORS										
Annual Revenue growth (%)	19.11	61.10	-17.68	21.69	-1.83	-2.62	-38.15	24.86	47.68	-0.19
Basic earning per share (Rs.)	0.08	-0.07	-0.16	0.67	0.13	0.67	0.74	1.16	6.46	2.97
Net Profit to net revenue (%)	0.80	-0.81	-3.06	10.14	1.70	12.38	11.65	7.98	5.53	3.75
Dividend per share (Rs.)	0.10	-	0.20	0.20	0.10	0.10	0.05	0.10	0.57	0.99
Return on Equity (%)	0.95	-0.94	-2.13	8.45	1.40	10.33	11.53	37.98	36.59	25.25
Net Assets per share (Rs.)	8.59	7.39	7.65	7.76	6.46	6.48	5.61	3.07	17.65	20.51
Gearing ratio (Times)	-	0.15	0.42	0.27	0.64	0.34	0.54	0.50	0.15	2.18
Current ratio(Times)	1.63	1.64	1.52	1.66	1.54	1.71	1.85	1.49	1.40	1.33

[illegible]

116. Notes

[illegible]

[illegible]

118. Notice of the 16th Annual General Meeting

NOTICE IS HEREBY GIVEN that the 16th Annual General Meeting of AGSTAR PLC (the Company) will be held on 29th June 2018 at 10.00 a.m. at Marcopolo Corporate Lounge, Excel World, 338, T.B. Jaya Mawatha, Colombo 10

AGENDA

1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2018 and the Report of the Auditors thereon.
2. To declare a final dividend at Rs.0.10 per share for the year 2017/2018 as recommended by the Directors.
3. To re-elect Ms. S. Wickramasinghe who retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
4. To re-elect Mr. W.K.D.T.Abeyrathne who retire by rotation in accordance with Article 23 (8) of the Articles of Association of the Company and being eligible, offer himself for re-election.
5. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. N.G.R. Karunaratne as a Director of the Company:

"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N.G.R. Karunaratne, who is presently 81 (Eighty One) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first"

6. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. A.G. Weerasinghe as a Director of the Company:

"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. A.G. Weerasinghe, who is presently 76 (Seventy Six) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first"
7. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr.H.P.J. de Silva as a Director of the Company:

"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. H.P.J. de Silva, who is presently 73 (Seventy Three) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first"

8. To re-appoint Messrs KPMG, Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration

BY ORDER OF THE BOARD OF DIRECTORS OF AGSTAR PLC



P.R. SECRETARIAL SERVICES (PRIVATE) LIMITED

Secretaries

At Colombo, this 1st June 2018

Note:

- A Member entitled to attend and vote at the meeting, is entitled to appoint a Proxy to attend and vote instead of him/her.
- A Proxy need not be a Member of the Company.
- A Member wishing to vote by Proxy at the meeting may use the Form of Proxy form enclosed.
- Any member or Proxy holder attending the meeting is kindly requested to bring this report.
- The completed Form of Proxy should also be deposited at the Registrars of the Company, SSP Corporate Services (Private) Limited, 101, Inner Flower Road, Colombo 03 not less than forty eight (48) hours before the time appointed for holding of the meeting.
- For security reasons, Members. Proxy holders are kindly advised to bring along with them their National Identity Card or similar for of acceptance identity when attending the meeting.

Form of Proxy .119

I/Weof.....
being a Member/Member* of the above named Company, hereby appoint (1).....
of.....failing him/her.

- | | | | |
|------------------------------|----------------|----------------------------|----------------|
| (2) Mr. N. G. R. Karunaratne | or failing him | (7) Mr. H. P. J. de Silva | or failing him |
| (3) Mr. D.N.N.Lokuge | or failing him | (8) Mr. A. G. Weerasinghe | or failing him |
| (4) Mr. A. P. Weerasekera | or failing him | (9) Ms. S. Wickramasinghe | or failing her |
| (5) Mr. D. S. K. Amarasekera | or failing him | (10) Mr.W.K.D.T.Abeyrathne | or failing him |
| (6) Mr. W.A.P.Perera | or failing him | | |

as my/our* Proxy to represent me/us* and vote and speak for me/us* on my/our* behalf at the 16th Annual General Meeting of the Company to be held on 29th June 2018 at 10.00 a.m. at Marcopolo Corporate Lounge, Excel World, 338, T .B. Jaya Mawatha, Colombo 10 and at ever poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

I/WE INDICATE MY/OUR VOTE ON THE RESOLUTIONS BELOW AS FOLLOWS;

- | | For | Against |
|--|--------------------------|--------------------------|
| 1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2018 and the Report of the Auditors thereon. | ☐ | ☐ |
| 2. To declare a final dividend at Rs.0.10 per share for the year 2017/2018 as recommended by the Directors. | ☐ | ☐ |
| 3. To re-elect Ms. S. Wickramasinghe who retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election. | ☐ | ☐ |
| 4. To re-elect Mr. W.K.D.T. Abeyrathne who retire by rotation in accordance with Article 23 (8) of the Articles of Association of the Company and being eligible, offer himself for re-election. | ☐ | ☐ |
| 5. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. N.G.R. Karunaratne as a Director of the Company:
"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N.G.R. Karunaratne, who is presently 81 (Eighty One) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first" | ☐ | ☐ |
| 6. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. A.G. Weerasinghe as a Director of the Company:
"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. A.G. Weerasinghe, who is presently 75 (Seventy Five) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first" | ☐ | ☐ |
| 7. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. H.P.J. de Silva as a Director of the Company:
"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. H.P.J. de Silva, who is presently 73 (Seventy Three) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first" | ☐ | ☐ |
| 8. To re-appoint Messrs KPMG Ford, Rhodes, Thornton & Co., Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration | ☐ | ☐ |

Signed thisday of.....2018.

.....

Signature of shareholder

120. Form of Proxy

INSTRUCTIONS FOR THE COMPLETION OF PROXY

1. Please perfect the form of Proxy after filling in legibly your full name and address and by signing in the space provided and fill-in the date of signature.
2. Please return the completed form to the Company after deletion of one or other of the alternate words indicated by asterisks in the body of the form.
3. The completed form of Proxy should be deposited at the Office of the Company Registrars, SSP Corporate Services (Private) Limited, 101, Inner Flower Road, Colombo 03 not less than 48 hours before the time appointed for the holding of the meeting.
4. If the Proxy has been signed by an Attorney, the relative Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
5. In the case of a Company/Corporation, the Proxy must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation.

Corporate Information

The Company	AgStar PLC	
Legal Form	A public Quoted Company incorporated in Sri Lanka	
Company Registration No.	PV1618 PB/PQ	
Date of incorporation	25th June 2002	
Registered Office	AgStar PLC 09, Bawa Place, Colombo 08 Tel: +94 11 4812424, +94 11 778040-3 Fax: +94 11 4810706 E-mail: info@agstaragri.com Website: www.agstaragri.com	
Board of Directors	Mr N.G.R.Karunaratne Mr D.N.N.Lokuge Mr A.P.Weerasekera Mr D.S.K.Amarasekera Mr W.A.P.Perera Mr A.G.Weerasinghe Mr H.P.J.de Silva Ms S.Wickramasinghe Mr. D Abeyrathne Mrs. S Kotakadeniya	Chairman / Chief Executive Officer Deputy Chairman/ Non Executive Director Managing Director Non Executive Director Non Executive Director Independent Non Executive Director Independent Non Executive Director Independent Non Executive Director Alternate Director to Mr.Nanayakkara Alternate Director to Mr.Amarasekera
Audit Committee	Mr H.P.J.de Silva Mr A.G.Weerasinghe	
Remuneration Committee	Mr H.P.J.de Silva Mr A.G.Weerasinghe	
Subsidiaries	AgStar Seeds (Pvt) Limited AgStar Cropcare (Pvt) Limited AgStar Grains (Pvt) Limited AgStar Properties (Pvt) Limited Mahaweli Agro Trading (Pvt) Limited AgStar Exports (Pvt) Limited Prith Seeds (Pvt) Limited Royal Seeds Pvt) Limited	
Secretaries	P R Secretarial Services (Pvt) Ltd 59, Gregory's Road, Colombo 07	
Registrars	SSP Corporate Services (Private) Limited 101, Inner Flower Road, Colombo 03	
Auditors	KPMG P O Box 186 32A, Sir Mohamed Macan Markar Mawatha, Colobmo 03	
Bankers	Bank of Ceylon Commercial Bank of Ceylon PLC DFCC Vardhana Bank PLC Hatton National Bank PLC MCB Bank Limited NDB Bank PLC Peoples' Bank Public Bank Sampath Bank PLC Seylan Bank PLC Nation Trust Bank PLC	
Legal Consultants	Paul Ratnayake Associates 59, Gregory's Road, Colombo 07 Sudath Perera Associates 5, 9th Lane, Nawala Road, Nawala	

